

CHAPTER 64

Building Societies Act, 1960

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An Act to amend the law relating to building societies.
[29th July, 1960]

BE it enacted by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Advances on mortgage to companies, etc.

1.—(1) In this section the expression “special advance” means an advance made by a building society on the security of freehold or leasehold estate, being—

Restrictions on certain types of advances.

- (a) an advance of any amount to a body corporate, or
- (b) an advance of a sum exceeding five thousand pounds, or such other sum as may be prescribed under this section, to a person other than a body corporate, or
- (c) an advance of any amount to a person other than a body corporate, being a person who is, after the advance is made to him, indebted to the building society (taking into account the advance in question and all other debts of any description, whether immediately repayable or not) in an amount exceeding five thousand pounds, or such other sum as may be prescribed under this section.

For the purposes of paragraph (c) of this subsection, the amount in which a person is indebted to the building society shall be ascertained both immediately after the making of the advance and also at the end of a period of three months beginning with the date of the advance or (if sooner) at the end of the financial year in which the advance was made; and that paragraph shall not apply to an advance to any person so as to make it a special advance unless either the amount

so ascertained on the first occasion exceeded ten thousand pounds (or, in a year for which references in this subsection to five thousand pounds are to be taken as references to a sum prescribed under this section, twice the amount of that sum) or the amount so ascertained on the second occasion exceeded five thousand pounds (or such other sum as may be prescribed under this section).

(2) A building society shall so conduct its business as to secure that special advances are not made by it except as authorised by this section.

(3) At the end of each financial year a building society shall review the advances made by the building society on the security of freehold or leasehold estate which are outstanding at the end of that year and shall ascertain—

(a) the total amount of those advances which at that time has not been repaid to the building society, together with any arrears of interest in respect of those advances, and

(b) the proportion of that amount which is in respect of advances either to any body corporate or to a person who at that time is indebted to the building society (taking into account any kind of debts, whether immediately repayable or not) in an amount exceeding five thousand pounds, or such other sum as may be prescribed under this section.

(4) Subject to the provisions of section two of this Act, if the said proportion does not exceed ten per cent. the building society may make special advances in the financial year following that for which the proportion was ascertained but so that the total amount of those advances made in that following financial year does not exceed ten per cent. of the total amount of all advances made by the building society on the security of freehold or leasehold estate during that following financial year.

(5) Subject to the provisions of section two of this Act, if the said proportion exceeds ten per cent., but does not exceed twenty-five per cent., the building society may make special advances in the financial year following that for which the proportion was ascertained but so that the total amount of those advances made in that following financial year does not exceed two and one-half per cent. of the total amount of all advances made by the building society on the security of freehold or leasehold estate in that following financial year.

(6) Subject to the provisions of section two of this Act, if the said proportion exceeds twenty-five per cent. the building society may not make any special advances in the financial

year following that for which the proportion was ascertained, and may not make in that year any advances as respects which it cannot be ascertained at the time they are made whether they will be special advances or not.

(7) Notwithstanding anything in subsection (4) or subsection (5) of this section, a building society which is established after the commencement of this Act shall not make any special advances in the calendar year in which it is established, and shall not make in that year any advances as respects which it cannot be ascertained at the time they are made whether they will be special advances or not.

(8) The Chief Registrar may by an order made with the consent of the Treasury and contained in a statutory instrument prescribe that, in relation to advances made by building societies in any financial year beginning on or after the date of the coming into operation of the order, for the references in subsection (1) and subsection (3) of this section to a sum of five thousand pounds there shall be substituted references to such greater sum as may be specified in the order, and the power of making orders under this subsection shall include power to vary or revoke any previous order.

An order shall not be made under this subsection unless a draft of the order has been approved by a resolution of each House of Parliament.

(9) If a building society does not comply with the requirements of this section, the building society shall be liable on conviction on indictment or on summary conviction to a fine which, on summary conviction, shall not exceed two hundred pounds, and every officer of the building society who is in default shall be liable—

- (a) on conviction on indictment to a fine or to imprisonment for a term not exceeding two years, or to both, and
- (b) on summary conviction to a fine not exceeding two hundred pounds or to imprisonment for a term not exceeding three months, or to both.

(10) Without prejudice to the provisions of the last foregoing subsection, if a building society does not comply with the requirements of this section the Chief Registrar may present a petition for the winding up of the building society under the Companies Act, 1948.

(11) For the purposes of this section any transaction to which a building society is a party whereby the mortgagor's interest under a mortgage securing an advance made by the building society is, subject to the mortgage, transferred from one person to

another shall be treated as an advance made by the building society to that other person of an amount equal to the amount of the mortgage debt remaining unpaid immediately after the transfer, together with any arrears of interest then outstanding.

(12) For the purposes of the application of this section to any advance made jointly to two or more persons, the expression "special advance" shall include such an advance if it would include an advance of like amount made under the like conditions to any one of those persons and paragraph (b) of subsection (3) of this section shall apply to such an advance if that paragraph would apply to an advance of like amount made under the like conditions to any of those persons.

(13) The restrictions imposed by this section shall come into force as respects any building society established before the commencement of this Act so as to restrict special advances made in the first financial year beginning after the commencement of this Act.

Exemptions
from
restrictions
on special
advances.

2.—(1) If a building society in any financial year in which it may make special advances up to the limit specified in subsection (4) of section one of this Act, or up to the limit specified in subsection (5) of section one of this Act, makes or proposes to make special advances as defined in that section on the security of freehold or leasehold property which consists wholly or mainly of dwelling-houses or flats which it is proposed to construct, or which are in course of construction or have recently been constructed, and on an application to the Chief Registrar shows to his satisfaction that the dwelling-houses or flats are being or will be made available for renting by tenants, the Chief Registrar may, if he thinks fit, for the purpose of authorising the building society to exceed the said limit by an amount equal to the whole or some proportion of the amount of the advances in respect of which the application is made, grant to the building society permission in writing to make special advances in that financial year in excess of the said limit, but subject to such other limit under the said subsection (4) or the said subsection (5) as may be specified in the permission for that purpose, and section one of this Act shall have effect accordingly.

The limit specified in the permission may be expressed as a percentage of the total of all advances made by the building society in the year, or in any other manner.

(2) Where the proportion ascertained under paragraph (b) of subsection (3) of section one of this Act as at the end of a financial year for a building society exceeds ten per cent. but does not exceed twenty-five per cent. (so that subsection (5) of that section applies in the following financial year) and the building society shows to the satisfaction of the Chief Registrar that that proportion represents in whole or in part advances

in respect of which an application has at any time been made under the foregoing subsection and by reference to which permission was granted under that subsection, the Chief Registrar may, if he thinks fit, grant to the building society permission in writing to make special advances in the said following financial year in excess of the limit specified in the said subsection (5), but subject to such other limit under that subsection as may be specified in the permission, and section one of this Act shall have effect accordingly.

The limit specified in the permission may be expressed as a percentage of the total of all advances made by the building society in the year, or in any other manner.

(3) If a building society which proposes to sell any freehold or leasehold estate mortgaged to the building society in exercise of its powers as mortgagee, and to make to the purchaser an advance on the security of that freehold or leasehold estate which will constitute a special advance as defined in section one of this Act, on an application to the Chief Registrar shows to his satisfaction—

- (a) that the person entitled to redeem the mortgage is a body corporate or a person who is indebted to the building society (taking into account the advance secured by the mortgage and all other debts of any description, whether immediately repayable or not) in an amount exceeding five thousand pounds, or such other sum as may be prescribed under section one of this Act for the purposes of subsections (1) and (3) of that section, and
- (b) that the amount of the mortgage debt which at the time of the application has not been repaid to the building society, together with any arrears of interest in respect of the advance secured by the mortgage, exceeds the amount of the advance which the building society proposes to make to the purchaser of the freehold or leasehold estate,

the Chief Registrar may, if he thinks fit, grant to the building society permission in writing to make the special advance to which the application relates; and for the purposes of subsections (4), (5) and (6) of section one of this Act, any special advance for which permission is granted under this subsection shall be left out of account.

(4) Subsection (11) of section one of this Act shall apply for the purposes of this section as it applies for the purposes of that section.

New societies

Minimum
number of
founding
members of
a building
society.

3. The number of persons establishing a building society under section thirteen of the principal Act shall not be less than ten, and in section seventeen of that Act (under which three of those persons must sign copies of the society's rules for transmission to the registrar) for the word "three" there shall be substituted the word "ten".

Minimum
subscription
by founding
members of
a building
society.

4.—(1) A building society incorporated after the commencement of this Act shall not commence any business or borrow any money unless there has been produced to the registrar evidence satisfying him that ten of the members of the building society who signed copies of the society's rules for transmission to the registrar under section seventeen of the principal Act—

- (a) have each been issued with shares in the building society to the value of five hundred pounds on terms which comply with the requirements of the First Schedule to this Act, and
- (b) have each paid to the building society in cash for those shares a sum of five hundred pounds,

and the registrar has issued to the building society his certificate that the requisite evidence has been so produced.

(2) Provisions authorising the building society to issue paid-up shares in accordance with the foregoing subsection shall be included in the rules of the building society of which copies are transmitted to the registrar under the said section seventeen.

(3) If at the expiration of a period of two months beginning with the date on which the building society became a body corporate the requisite evidence has not been produced to the registrar under subsection (1) of this section, the registrar may if he thinks fit cancel the registration of the building society, and the building society shall cease to enjoy the privileges of a society under the enactments relating to building societies.

Notice of the cancellation of registration of the building society shall be published by the registrar in the London, Edinburgh and Belfast Gazettes and in such other ways as appear to him expedient for informing the public.

(4) The provisions of the First Schedule to this Act shall have effect with respect to shares issued in compliance with subsection (1) of this section for the purpose of ensuring that the conditions attaching to the shares are observed until the end of the period of five years beginning with the date on which the registrar issues his certificate to the building society under subsection (1) of this section.

(5) If a building society commences business or borrows any money in contravention of this section, the building society shall

be liable on conviction on indictment or on summary conviction to a fine which, on summary conviction, shall not exceed two hundred pounds, and every officer of the building society who is in default shall be liable—

(a) on conviction on indictment to a fine or to imprisonment for a term not exceeding two years, or to both, and

(b) on summary conviction to a fine not exceeding two hundred pounds or to imprisonment for a term not exceeding three months, or to both.

(6) This section shall not apply to a building society which, before its incorporation, was such an unincorporated society as is mentioned in section seven of the principal Act.

5.—(1) A building society incorporated after the commencement of this Act shall not issue or cause to be issued any advertisement until the registrar has given to the building society permission in writing to commence advertising on an application in writing made in accordance with the following provisions of this section.

Commencement of advertising by a new society.

(2) An application for permission under this section—

(a) may not be made in the financial year in which the building society is incorporated or, unless it was incorporated on the first day of any year, in the financial year next following that in which it was incorporated; and

(b) may not be made at any time in any financial year before the building society has, in accordance with the provisions of this Act, sent to the Chief Registrar its annual return (with the auditors' report annexed) for the last preceding financial year, and a copy of the corresponding balance sheet, including every document required by law to be annexed or attached thereto.

(3) On an application under this section the Chief Registrar shall grant permission if all the requirements set out in the Second Schedule to this Act are fulfilled as regards the building society making the application.

(4) If a building society contravenes subsection (1) of this section the building society and every officer of the building society who is in default shall be guilty of an offence under this section and if, after any person has been convicted of an offence under this section in respect of an advertisement which is on display in any public place the building society does not take all practicable steps to have the advertisement removed, the building society and every officer of the building society who is in default shall be guilty of a further offence under this section.

(5) If a building society is guilty of an offence under this section it shall be liable on conviction on indictment or on summary

conviction to a fine which, on summary conviction, shall not exceed two hundred pounds, and if an officer of a building society is guilty of an offence under this section he shall be liable—

- (a) on conviction on indictment to a fine or to imprisonment for a term not exceeding two years, or to both, and
- (b) on summary conviction to a fine not exceeding two hundred pounds or to imprisonment for a term not exceeding three months, or to both.

(6) This section shall not apply to a building society which, before its incorporation, was such an unincorporated society as is mentioned in section seven of the principal Act.

Controls exercisable by the Chief Registrar

Power to
suspend
raising of
money by
building
society.

6.—(1) If with respect to any building society, the Chief Registrar considers it expedient so to do in the interests of persons who have invested or deposited or may invest or deposit money with the building society, he may by an order made with the consent of the Treasury apply subsection (2) of this section to the building society.

(2) Subject to the provisions of this section, while this subsection applies to a building society, the building society may not—

- (a) accept the deposit of or otherwise borrow any money, or
- (b) accept any payment representing the whole or any part of the amount due by way of subscription for a share in the building society, other than a payment which fell due before the making of the order applying this subsection to the building society.

(3) This section shall not make it unlawful for a building society to borrow from a banking or finance company or from a director or other officer of the building society, if the building society has obtained the consent in writing of the Chief Registrar.

(4) Where at the time when an order is made applying subsection (2) of this section to a building society, a member is under an obligation to make payments to the building society representing instalments of the amount due by way of subscription for a share in the building society, the obligation shall, subject to anything in the rules of the building society or any agreement between the building society and the member, be suspended as respects each instalment for the period for which the order is in force and, accordingly, if the order is revoked, the sum due shall again become payable by instalments.

Subject to the foregoing provisions of this subsection, any obligation to make any payment which the building society is under this section prohibited from accepting shall be wholly rescinded.

(5) Any order under this section may be revoked by a subsequent order of the Chief Registrar made with the consent of the Treasury.

(6) (a) Not less than fourteen days before making an order applying subsection (2) of this section to any building society, the Chief Registrar shall serve on the building society a notice stating that he proposes to make an order and specifying the considerations which have led him to conclude that it would be in the interests of persons who have invested or deposited or may invest or deposit money with the building society to make the order, and shall also serve on every director of the building society a notice stating that he proposes to make an order.

(b) The Chief Registrar shall consider any representations with respect to the notice made to him by the building society within such period (not being less than fourteen days) from the date on which the building society is served with the notice as the Chief Registrar may allow and, if the building society so requests, afford to the building society an opportunity of being heard by him within that period.

(c) On making an order applying subsection (2) of this section the Chief Registrar shall serve on the building society, and on every director of the building society, a notice of the making of the order, and shall serve on the building society a notice specifying the considerations which have led him to conclude that it is expedient to make the order in the interests of persons who have invested or deposited or may invest or deposit money with the building society; and the Chief Registrar shall not have power to make an order unless all of those considerations were those, or were among those, which were specified in a notice under paragraph (a) of this subsection.

(d) A notice under this subsection may be served on a director of a building society by sending it by post to his address, or latest address, as notified to the Chief Registrar or registrar by the building society or the director, and failure to serve a notice under this section on a director shall not affect the validity of an order under this section.

(7) Notice of the making of an order under this section shall be published by the Chief Registrar in the London, Edinburgh and Belfast Gazettes and in such other ways as appear to him expedient for informing the public.

(8) If a building society contravenes the provisions of subsection (2) of this section it shall be liable on conviction on

indictment or on summary conviction to a fine which, on summary conviction, shall not exceed two hundred pounds, and every officer of the building society who is in default shall be liable—

- (a) on conviction on indictment to a fine or to imprisonment for a term not exceeding two years, or to both, and
- (b) on summary conviction to a fine not exceeding two hundred pounds or to imprisonment for a term not exceeding three months, or to both.

(9) Where an order is made applying subsection (2) of this section to a building society, it shall be the duty of the building society to make reasonable arrangements for using the funds of the building society to meet applications duly made in accordance with the rules of the building society by depositors or holders of shares in the building society for repayment of the money deposited or subscribed by them, and if it appears to the Chief Registrar that, where an order made under this section is in force, the building society has been applying an undue proportion of the funds of the building society in making advances in preference to meeting such applications, he may, after giving notice to the building society and affording it an opportunity of making representations, present a petition for the winding up of the building society under the Companies Act, 1948.

(10) References in this section to the amount due by way of subscription for a share in a building society shall not include references to amounts due in respect of a share which represent interest on, or the repayment of, an advance made to the holder of the share.

Power to
control
advertising by
a building
society.

7.—(1) If with respect to any building society, the Chief Registrar considers it expedient so to do in the interests of persons who may invest or deposit money with the building society, he may with the consent of the Treasury by notice served on the building society give a direction—

- (a) prohibiting the issue by the building society of advertisements of all descriptions, or
- (b) prohibiting the issue by the building society of advertisements of any description specified in the direction, or
- (c) prohibiting the issue by the building society of any advertisements which are, or are substantially, repetitions of an advertisement which has been issued and which is specified in the direction, or
- (d) requiring the building society to take all practicable steps to withdraw any advertisement, or any description of advertisement, specified in the direction which is on display in any place,

or a direction which contains two or more such prohibitions or requirements.

(2) Directions under this section may be varied or revoked at any time by a subsequent direction under this section.

(3) (a) Not less than one week before giving a direction under this section (other than a direction revoking a previous direction) with respect to any building society, the Chief Registrar shall serve on the building society a notice stating that he proposes to give the direction and specifying the considerations which have led him to conclude that it would be in the interests of persons who may invest or deposit money with the building society to give the direction, and shall also serve on every director of the building society a notice stating that he proposes to give the direction.

(b) The Chief Registrar shall consider any representations with respect to the notice made to him by the building society within the period of one week from the date on which the building society is served with the notice and, if the building society so requests, afford to the building society an opportunity of being heard by him within that period.

(c) On giving a direction under this section (other than a direction revoking a previous direction) the Chief Registrar shall serve on the building society, and on every director of the building society, a notice of the giving of the direction, and shall serve on the building society a notice specifying the considerations which have led him to conclude that it is expedient to give the direction in the interests of persons who may invest or deposit money with the building society; and the Chief Registrar shall not have power to give a direction under this section unless all of those considerations were those, or were among those, which were specified in a notice under paragraph (a) of this subsection.

(d) A notice under this subsection may be served on a director of a building society by sending it by post to his address, or latest address, as notified to the Chief Registrar or registrar by the building society or the director, and failure to serve a notice under this subsection on a director shall not affect the validity of a direction under this section.

(4) If a building society contravenes a direction under this section it shall be liable on conviction on indictment or on summary conviction to a fine which, on summary conviction, shall not exceed two hundred pounds, and every officer of the building society who is in default shall be liable—

- (a) on conviction on indictment to a fine or to imprisonment for a term not exceeding two years, or to both, and
- (b) on summary conviction to a fine not exceeding two hundred pounds or to imprisonment for a term not exceeding three months, or to both.

(5) Section eleven of the Prevention of Fraud (Investments) Act, 1958 (which authorises the registrar to control the issue of advertisements by building societies), shall cease to have effect, but without prejudice to any order in force under that section at the commencement of this Act or the power of revoking such an order.

Powers of
control:
supplemental
provisions.

8.—(1) The Chief Registrar may at any time serve a notice on a building society, or on any person who has in his possession or under his control any books, accounts, deeds or other documents relating to the business of the building society, requiring the building society or other person to produce to the Chief Registrar such of them as he considers necessary for the exercise of the powers which he has under the two last foregoing sections:

Provided that the Chief Registrar shall not have power to require the production of documents which do not belong to the building society, and which are not deeds relating to property mortgaged to the building society, from a person who is or has been an auditor of the building society or from anyone other than a person who is or has been an officer or servant of the building society.

(2) The Chief Registrar may also at any time serve a notice on a building society, or on any person who is or has been an officer or servant of the building society, requiring the building society or other person to furnish him with such information relating to the business of the building society as he considers necessary for the exercise of the powers which he has under the two last foregoing sections, and any such notice may contain a requirement that any information to be furnished in accordance with the notice shall be verified by statutory declaration.

(3) The Chief Registrar may, if he considers it just, direct that all or any of the expenses incurred by him under the foregoing subsections in relation to any building society shall, either wholly or to such extent as he may determine, be defrayed out of the funds of the building society, or by the officers or former officers thereof or any of them; and any sum which any society or other person is required by such a direction to pay shall be a debt to the Chief Registrar from that society or person:

Provided that a building society or officer or former officer of a building society directed to pay any sum under this subsection may appeal to the High Court or, where the building society has its chief office in Scotland, to the Court of Session against the direction on the ground that the sum ought to be defrayed by some other of the persons who may be directed to defray expenses under this subsection, and the court shall have jurisdiction to vary any such direction accordingly.

(4) If a building society fails to comply with the requirements of a notice under this section the building society shall be

guilty of an offence under this Act and every officer of the building society who is in default shall be liable on summary conviction to a fine not exceeding two hundred pounds or to imprisonment for a term not exceeding three months, or to both; and if any person other than a building society fails to comply with those requirements he shall be liable on summary conviction to a fine not exceeding two hundred pounds or to imprisonment for a term not exceeding three months, or to both.

9.—(1) Where, in the case of a building society the assets of which do not exceed one hundred thousand pounds in value, there has in the opinion of the Chief Registrar been a change in the scale or character of the business carried on by the building society, or arrangements have in his opinion been made for such a change, and the Chief Registrar considers it expedient so to do in the interests of persons who have invested or deposited or may invest or deposit money in the building society, he may serve a notice on the building society under this section.

Special powers as respects small building societies.

(2) The Chief Registrar shall consider any representations made to him within one month from the service of the notice on the building society and, if the building society so requests, afford it an opportunity of being heard by him within that period.

(3) A notice under this section shall state that, unless within such period (being not less than two months) from the service of the notice as may be specified in the notice, there has been produced to the Chief Registrar evidence to his satisfaction—

- (a) that the directors of the building society, or, as the case may be, one or more of them, have been issued with shares in the building society on terms which comply with the requirements of the First Schedule to this Act, and
- (b) that the value of the shares (taking into account in a case where more than one director has been issued with such shares, the shares issued to all the directors) amounts to five thousand pounds or more, and
- (c) that there has been paid to the building society in cash for those shares a sum or sums amounting in all to five thousand pounds or more,

the Chief Registrar proposes to give a direction that the building society shall not—

- (i) issue any shares or lend or borrow any money, or
- (ii) issue or cause to be issued any advertisement.

(4) If, at the expiration of the said period specified in the notice, the Chief Registrar has not received evidence to his satisfaction as to the matters specified in paragraphs (a), (b) and

(c) of the last foregoing subsection he may at any time thereafter give to the building society a direction that, while the direction is in force, the building society shall not—

(a) issue any shares or lend or borrow any money, or

(b) issue or cause to be issued any advertisement,

and if, at the end of the period of two months beginning with the date on which he gives the direction, such evidence as aforesaid has not been received by him, he may present a petition for the winding-up of the building society under the Companies Act, 1948.

Not less than one month before presenting a petition under this subsection the Chief Registrar shall give notice of his intention to the building society.

(5) If at any time after the Chief Registrar gives a direction under this section, and before he presents a petition under the last foregoing subsection for the winding-up of the building society, he receives such evidence as aforesaid he shall rescind the direction.

(6) A building society shall have power to issue shares in compliance with this section notwithstanding anything in the rules of the building society.

(7) The provisions of the First Schedule to this Act shall have effect with respect to shares issued in compliance with this section for the purpose of ensuring that the conditions attaching to the shares are observed until the end of the period of five years beginning with the date of the sending of the notice under subsection (1) of this section.

(8) The Chief Registrar shall not serve a notice under this section—

(a) on a building society established after the commencement of this Act at any time within five years from the date on which it was established, or

(b) on a building society established within three years before the commencement of this Act at any time within three years from the date on which it was established, or

(c) in a case where the directors of a building society have subscribed for shares in the building society in compliance with a previous notice under this section, at any time within five years from the date on which that previous notice was sent to the building society.

(9) It shall be the duty of every building society the assets of which do not exceed one hundred thousand pounds in value to furnish the Chief Registrar with such information as he may from time to time require for the purpose of ascertaining whether

there has been a change in the scale or character of the business carried on by the building society or whether arrangements are being made for such a change and if a building society fails to comply with the requirements of the Chief Registrar under this subsection the building society and every officer of the building society who is in default shall be guilty of an offence under this Act.

(10) If a building society contravenes a direction under this section it shall be liable on conviction on indictment or on summary conviction to a fine which, on summary conviction, shall not exceed two hundred pounds, and every officer of the building society who is in default shall be liable—

- (a) on conviction on indictment to a fine or to imprisonment for a term not exceeding two years, or to both, and
- (b) on summary conviction to a fine not exceeding two hundred pounds or to imprisonment for a term not exceeding three months, or to both.

10.—(1) The Chief Registrar shall have power with the consent of the Treasury by statutory instrument to make regulations with respect to the matter and form of any kinds of communications which a building society may issue or cause to be issued, and in particular,—

Contents of advertisements, circulars, etc.

- (a) of any kinds of advertisements, or
- (b) of any kinds of invitations, whether or not addressed to particular persons, to invest in or lend money to a building society.

(2) Regulations under this section may in particular—

- (a) require that in any specified kinds of advertisements, or of invitations to invest in or lend money to a building society, there shall be included a statement in the prescribed form concerning the general financial position of the building society or giving any particular information with respect to the affairs of the building society,
- (b) require a building society to take the prescribed steps to withdraw advertisements which are on display in public places and which do not comply with the requirements of the regulations.

(3) Regulations under this section—

- (a) may make different provision for different cases, and
- (b) may contain such transitional, supplemental and incidental provisions as appear to the Chief Registrar to be desirable.

(4) If a building society contravenes any provision contained in regulations under this section it shall be liable on conviction on indictment or on summary conviction to a fine which, on

summary conviction, shall not exceed two hundred pounds, and every officer of the building society who is in default shall be liable—

- (a) on conviction on indictment to a fine or to imprisonment for a term not exceeding two years, or to both, and
- (b) on summary conviction to a fine not exceeding two hundred pounds or to imprisonment for a term not exceeding three months, or to both.

(5) If an officer or servant of a building society contravenes any provisions contained in regulations under this section he shall be liable—

- (a) on conviction on indictment to a fine or to imprisonment for a term not exceeding two years, or to both, and
- (b) on summary conviction to a fine not exceeding two hundred pounds or to imprisonment for a term not exceeding three months, or to both.

(6) In this section the expression “prescribed” means prescribed by regulations under this section.

Investments

Investment and
banking of
surplus funds.

11.—(1) The manner in which a building society may invest any part of the funds of the building society which are not immediately required for its purposes shall be such as may be prescribed by the Chief Registrar by an order made with the consent of the Treasury and contained in a statutory instrument, and the power of making orders under this subsection shall include power to make an order containing—

- (a) provisions authorising the application of funds of the building society in any form of investment subject to any limitations as to amount, whether by reference to a fixed sum or by reference to a proportion of the total investments of the building society or otherwise, and
- (b) provisions varying or repealing a previous order and such transitional, supplemental and incidental provisions as appear to him necessary or desirable,

and on and after the date of the coming into force of the first order made under this subsection (hereafter in this section referred to as “the prescribed date”) a building society shall not invest any part of the funds of the building society which are not immediately required for its purposes in a manner which is not authorised by an order under this subsection.

(2) Subject to the provisions of this section, a building society shall on and after the prescribed date keep the funds which are not immediately required for its purposes, so far as not invested

in compliance with the foregoing subsection, on current account with, or otherwise on loan to, a bank which is for the time being authorised under this section to hold the funds of a building society, save only for such funds as are kept in cash in the custody of officers of the building society.

(3) Subsection (2) of this section shall not apply to funds of a building society represented by any investment made by the building society before the prescribed date under—

- (a) section twenty-five of the principal Act, as amended by section seventeen of the Building Societies Act, 1894 (which prescribes the manner in which an incorporated building society may invest funds not immediately required), or
- (b) section sixteen of the Building Societies Act, 1894 (which authorises an incorporated building society to lend money to or invest through a savings bank), or
- (c) section thirteen of the Friendly Societies Act, 1829 (which as applied by virtue of section four of the Building Societies Act, 1836, and section seven of the principal Act prescribes the manner in which an unincorporated building society may invest funds not immediately required),

so long as the building society continues to hold that investment and so long as the building society does not enter into any transaction the effect of which is to alter the terms on which the investment is held.

(4) Where on the prescribed date any of the funds of a building society are on current account with a bank which is not a bank authorised under this section to hold the funds of a building society, or are being kept in any other manner not permitted by subsection (2) of this section, the building society shall not on that account be guilty of an offence under that subsection, but the building society shall take all practicable steps to call in and realise the said funds within the period of three months from the prescribed date, or, if that is not possible, as soon after the end of that period as possible.

(5) Where a bank ceases to be authorised under this section to hold the funds of a building society and any funds on loan to the bank thereupon cease to be kept in a manner permitted by subsection (2) of this section, the building society shall not on that account be guilty of an offence under that subsection, but the building society shall take all practicable steps to call in and realise the loan within the period of three months from the time when the bank ceased to be so authorised, or, if that is not possible, as soon after the end of that period as possible.

(6) If a building society contravenes subsection (1), subsection (2), subsection (4) or subsection (5) of this section it shall be liable on conviction on indictment or on summary conviction to a fine which, on summary conviction, shall not exceed two hundred pounds, and every officer of the building society who is in default shall be liable—

(a) on conviction on indictment to a fine or to imprisonment for a term not exceeding two years, or to both, and

(b) on summary conviction to a fine not exceeding two hundred pounds or to imprisonment for a term not exceeding three months, or to both.

(7) For the purposes of this section the Chief Registrar shall by an order made with the consent of the Treasury designate the banks which are authorised to hold the funds of a building society for the purposes of this section; and an order under this subsection—

(a) may be varied by a subsequent order made by the Chief Registrar with the consent of the Treasury, and

(b) shall be published in the London, Edinburgh and Belfast Gazettes.

(8) In this section the expression “bank” means a body corporate or partnership carrying on the business of banking, and a trustee savings bank or other savings bank established under any Act of Parliament whether public or local.

Power to
lend money
to other
building
societies.

12.—(1) Where it appears to the Chief Registrar that a building society as defined in this Act or a building society of Northern Ireland is in financial difficulties he may, with the consent of the Treasury, authorise any other building society to lend money to that first-mentioned society, and a building society shall have power to act accordingly.

(2) In this section the expression “building society of Northern Ireland” means a building society which is, or, for the purposes of the Building Societies Acts, 1874 to 1894, is deemed to be, registered in Northern Ireland, or any such unincorporated society as is mentioned in section seven of the principal Act whose chief office or principal place of business is in Northern Ireland.

Special investigations

Inspections
and special
meetings.

13.—(1) In section five of the Building Societies Act, 1894 (which provides for the appointment of an inspector of the affairs of a building society or for the calling of a special meeting of a building society in certain circumstances), for the word “registrar” wherever it occurs in that section there shall be substituted the words “Chief Registrar of Friendly Societies”.

(2) In subsection (5) of the said section five (which, as amended by subsection (1) of this section, authorises the Chief Registrar to exercise his powers under that section on his own initiative) for the words from "in the following cases" to the end of the section there shall be substituted the following words—

"where the Chief Registrar of Friendly Societies is of opinion that an investigation should be held into the affairs of a building society, or that the affairs of a building society call for consideration by a meeting of the members:

Provided that the Chief Registrar of Friendly Societies shall before exercising those powers inform the building society of the action which he proposes to take, and of the grounds on which he proposes to take the action, and the society shall, within fourteen days of receiving the information, be entitled to give the Chief Registrar an explanatory statement in writing, by way of a reply."

(3) Where the Chief Registrar exercises the powers conferred on him by virtue of subsection (1) or subsection (5) of the said section five to call a special meeting of a building society—

(a) he may give such directions as he thinks fit with respect to the calling, holding and conduct of the meeting, and

(b) he may appoint a person to be chairman at the meeting.

Any directions given under this subsection shall have effect notwithstanding anything to the contrary in the rules of the building society.

(4) For the removal of doubt it is hereby declared that the powers of appointing an inspector and of calling a special meeting under the said section five (in the circumstances described in subsection (1) or subsection (5) of that section) may be exercised on the same occasion as well as on different occasions.

(5) The said section five as amended by this section shall apply to any such unincorporated building society as is mentioned in section seven of the principal Act as it applies to an incorporated building society.

Advances on mortgage

14.—(1) It shall be the duty of every director of a building society to satisfy himself that the arrangements made for assessing of security the adequacy of the security to be taken in respect of advances to be made by the society are such as may reasonably be expected to ensure—

(a) that the adequacy of any security to be so taken will be assessed either by the directors of the building society or by a director or other officer of the building society who is competent to make the assessment, and

- (b) that there will be made available to every person who is to assess the adequacy of any security to be so taken a report as to the value of, and any matter likely to affect the value of, any freehold or leasehold estate comprised in the security, being a written report prepared and signed by a competent and prudent person who is experienced in the matters relevant to the determination of the value of the estate and who is not disqualified for reporting thereon by virtue of subsection (2) or subsection (3) of this section.

(2) For the purposes of paragraph (b) of subsection (1) of this section a person who is a director or the manager or secretary of a building society shall be disqualified for reporting on any freehold or leasehold estate comprised in security to be taken by the building society in respect of any advance:

Provided that during the period of ten years beginning with the commencement of this Act this subsection shall not apply to a person who has been a director or the manager or secretary of the building society at all times since the commencement of this Act, but, after the holding of the first annual general meeting after the end of the year nineteen hundred and sixty, only so long as at that annual general meeting and every following annual general meeting he has been authorised by a special resolution to make reports for the said purposes until the next annual general meeting; and for the purposes of this proviso retirement from office followed by immediate reappointment shall not be regarded as a break in the tenure of office.

(3) For the purposes of paragraph (b) of subsection (1) of this section—

- (a) a person to whom a building society has made or undertaken to make a payment for introducing to the building society an applicant for an advance shall be disqualified for reporting on any freehold or leasehold estate comprised in security to be taken by the building society in respect of any advance to be made to the applicant on that application; and
- (b) where an advance is to be made by a building society following a disposition of freehold or leasehold estate which is comprised in security to be taken for the advance, any person having a financial interest in the disposition of that freehold or leasehold estate, and any person receiving a commission or gift for introducing the parties to the transaction involving that disposition, shall be disqualified for reporting thereon.

(4) Every building society shall cause to be kept records showing with respect to every advance made by the building society after the commencement of this Act on the security of freehold or leasehold estate—

- (a) the value placed upon the estate in the report thereon under paragraph (b) of subsection (1) of this section, and the name of the person by whom the report was made, and
- (b) particulars of any additional security taken by the building society.

(5) If—

- (a) a director of a building society fails to carry out his duty under subsection (1) of this section, or
- (b) any person prepares a report on any estate with respect to which he is disqualified for reporting by virtue of subsection (2) or subsection (3) of this section, knowing or having reason to believe that it will be used, or is likely to be used, for the purposes of paragraph (b) of subsection (1) of this section,

he shall be liable on summary conviction to a fine not exceeding two hundred pounds or to imprisonment for a term not exceeding six months; and if any building society fails to comply with subsection (4) of this section, the building society and every officer of the building society who is in default shall be guilty of an offence under this Act.

(6) Expressions employed in this section to which meanings are assigned by the Building Societies Act, 1939, shall have those meanings in this section.

15. The Chief Registrar shall have power by order made with the consent of the Treasury and contained in a statutory instrument to amend the Schedule to the Building Societies Act, 1939 (which gives a list of the classes of additional security which a building society may take into account in determining the amount of an advance which the building society will make to a member), for the purpose of extending the classes of additional security in that list and shall have power to include in an order under this section provisions varying or repealing a previous order and such transitional, supplemental and incidental provisions as appear to him necessary or desirable.

Classes of additional security which may be taken into account.

16. In subsection (4) of section two of the Building Societies Act, 1939 (which provides that where a guarantee given in pursuance of a continuing arrangement is taken as additional security for an advance by a building society, the advance as a whole shall not exceed ninety-five per cent. of the amount of the purchase price of the property which is the principal security, and the basic advance shall not exceed seventy-five per cent. of that amount), as it applies in relation to any advance made after the commencement of this Act—

Additional security: guarantees given in pursuance of continuing arrangements.

(a) for the words "ninety-five per cent." there shall be substituted the words "one hundred per cent."; and

(b) for the words "seventy-five per cent." there shall be substituted the words "eighty per cent.";

and section six of the said Act (which prescribes a period within which any advance in respect of which such a guarantee is taken is to be repaid) shall cease to have effect.

Advances on security of land subject to a prior mortgage.

17.—(1) Subsection (1) of section thirteen of the Building Societies Act, 1894 (which prohibits the making of advances on the security of land subject to a prior mortgage), shall not apply so as to prohibit the making by a building society as defined in this Act of an advance on the security of any freehold or leasehold estate by reason of that freehold or leasehold estate being subject to any of the charges listed in the Third Schedule to this Act.

(2) The provisions of this section shall have effect as respects any charge listed in the Third Schedule to this Act whether created before or after the commencement of this Act, but shall not apply in relation to any advance made by a building society before the commencement of this Act.

(3) This section shall extend to Northern Ireland so as to apply to mortgages of land in Northern Ireland for securing advances by building societies as defined in this Act.

Advances on second mortgage by building societies in Scotland and Northern Ireland.

18.—(1) Subsection (2) of section thirteen of the Building Societies Act, 1894 (which authorises certain societies in Scotland or Northern Ireland to make advances upon second mortgage), shall, so far as it relates to building societies as defined in this Act, cease to have effect.

(2) This section shall not invalidate any mortgage effected by a building society before the commencement of this Act.

(3) This section shall extend to Northern Ireland so as to apply to mortgages of land in Northern Ireland for securing advances by building societies as defined in this Act.

Notices to be given where security for advance is taken from a third party.

19.—(1) Section seven of the Building Societies Act, 1939 (which requires a building society making an advance to a member to give notice to the member if it takes any security for the advance from a third party), shall not apply in relation to an advance made to an individual where the only security taken for the advance from a third party is a guarantee given by an individual, not being a guarantee secured by a charge on any property; and where a notice is required to be given under the said section seven as respects an advance made to an individual, the notice need not refer to any guarantee given by an individual, not being a guarantee secured by a charge on any property.

(2) This section shall not apply to an advance made by a building society before the commencement of this Act.

20.—(1) In section forty-two of the principal Act (under which a mortgage of land given to a building society may be discharged by endorsing a receipt under the seal of the building society countersigned by the secretary or manager) for the words “countersigned by the secretary or manager” there shall be substituted the words “countersigned by any person acting under the authority of the board of directors or committee of management of the society”.

Sealing of
receipts
endorsed on
mortgages.

(2) At the end of the form of receipt in the Schedule to the principal Act for the words “Secretary [or Manager]” there shall be substituted the words “by authority of the board of directors [or committee of management]”.

(3) This section shall extend to Northern Ireland so as to apply to mortgages of land in Northern Ireland for securing advances by building societies as defined in this Act.

Members and depositors

21.—(1) Subject to the provisions of this section, a building society, or any two or more building societies, may enter into arrangements with a person carrying on the business of insurance for the purpose of making funds available to meet losses incurred by persons investing in or lending money to a building society which is a party to the arrangements, and any two or more building societies may enter into any other kind of arrangements for that purpose.

Guarantee
funds to
meet losses
by investors
in building
societies.

(2) Subject to the provisions of this section, a building society shall have power to make contributions under arrangements made in accordance with this section.

(3) Arrangements under this section may in particular provide for the vesting of a fund in trustees appointed under the arrangements.

(4) Arrangements under this section shall not come into force, and no contributions shall be made thereunder by a building society, until they have been approved by the Chief Registrar, and the Chief Registrar shall not approve arrangements under this section unless they provide that any variation of their terms shall also require the approval of the Chief Registrar.

22.—(1) The rules of a building society may allow a person to become a member without holding a share in the building society and such of the rules as concern the making of advances to members need not be expressed in terms which treat a member to whom an advance is made as being, by reason of the making of the advance, the holder of a share in the building society.

Power to
admit members
who are not
shareholders.

(2) The liability of a member to whom an advance is made under rules made in pursuance of the foregoing subsection shall be no greater than it would be if the rules treated the member as being, by reason of the making of the advance, the holder of a share in the building society.

Members or
depositors
dying
intestate.

23.—(1) In section twenty-nine of the principal Act (which authorises a building society, where a member or depositor with a sum of fifty pounds or less in the funds of the building society dies intestate, to pay out the sum without requiring letters of administration to be taken out) for the words “fifty pounds” there shall be substituted the words “one hundred pounds”.

(2) In the said section twenty-nine for the reference to the Statutes of Distribution there shall be substituted a reference to the law for the time being in force in England and Wales or, as the case may be, in Scotland, with respect to the distribution of the estate of a person dying intestate.

(3) Section thirty of the principal Act (which contains provisions relating to the devolution of real estate on a death which are obsolete) shall cease to have effect.

(4) This section shall have effect as respects persons dying after the commencement of this Act.

Infant
depositors.

24. Any receipt or acknowledgment given to a building society by a person under the age of twenty-one years in respect of the payment to him of any sum due in respect of principal or interest on sums lent by him to the building society shall not be invalid on the ground that he is under the said age.

New investors
to be given
copies of
accounts.

25.—(1) On a person first becoming a depositor or a subscriber for shares in a building society, he shall be given by the building society a copy of the latest revenue and appropriation account and balance sheet of the building society (together with a copy of the auditors' report and of the directors' report).

(2) For the purposes of this section any subscription for shares to a value of less than one pound made in order that the subscriber shall qualify as a person to whom the building society may make advances shall be disregarded.

(3) If a building society fails to comply with this section, the building society and every officer of the building society who is in default shall be guilty of an offence under this Act:

Provided that it shall be a defence on a prosecution under this subsection to prove that the building society had taken reasonable steps to make arrangements to comply with this section, and that the offence was due to inadvertence or exceptional circumstances.

(4) This section shall come into force as respects any building society established before the commencement of this Act on the date on which the building society holds its first annual general meeting in pursuance of this Act.

26. Section thirty-six of the principal Act (which relates to the statement of a case on a dispute between a building society and its members) shall have effect, and shall be deemed always to have had effect, in its application to Scotland as if for the reference therein to the Supreme Court of Judicature there were substituted a reference to the Court of Session.

Application to Scotland of s. 36 of principal Act.

Register of members

27.—(1) Every building society shall maintain a register of the names and addresses of the members of the building society. Duty to keep register.

(2) The said register shall be kept at the chief office of the building society except that the building society may, with the consent in writing of the registrar, keep the register, or parts of the register, at one or some of its other offices.

(3) At any time—

(a) when an order is in force as respects a building society under section six of this Act or under section eleven of the Prevention of Fraud (Investments) Act, 1958, or under section eleven of the Prevention of Fraud (Investments) Act, 1939, or

(b) when a written request to withdraw any share in a building society has been given to the building society more than six months previously and the building society has, whether in reliance on a provision in the rules of the building society or not, not yet complied with the request, or

(c) in the twelve months following a financial year in which the holders of shares in a building society did not become entitled to any interest or dividend on their shares,

a member of the building society shall have the right to obtain from the register kept under this section the names and addresses of members of the building society for the purpose of communicating with them on a subject relating to the affairs of the building society.

(4) If at any time when members of the building society have not under the last foregoing subsection the right to obtain names and addresses from the register a member makes a written application for that right to the Chief Registrar, the Chief Registrar may, if satisfied that the applicant requires the right for the purpose of communicating with members of the building society on a subject relating to the affairs of the building society, and

having regard to the interests of the members as a whole, and to all the other circumstances, direct that the applicant shall have the right to obtain from the register the names and addresses of members for the purpose of communicating with them on a subject relating to the affairs of the building society; and he may give any direction under this subsection subject to such limitations or conditions as he may think fit.

(5) Before giving a direction under the last foregoing subsection the Chief Registrar shall give particulars of the application to the building society, and afford the building society an opportunity of making representations as to the application; and the Chief Registrar shall, if the applicant or the building society so requests, afford to the applicant and to the building society an opportunity of being heard by him.

(6) A member entitled under the foregoing provisions of this section to obtain the names of members of the building society may apply in writing to the building society and shall describe in that application the subject on which he proposes to communicate with other members of the building society; and the building society shall give him all necessary information as to the place or places where the register or a part of the register is kept and reasonable facilities for inspecting the register, and taking a copy of any names and addresses in the register.

(7) Any dispute as to the rights of a member under this section which arises between the member and the building society shall be referred to the Chief Registrar, and the award of the Chief Registrar shall have the same effect as that of arbitrators under section thirty-four of the principal Act.

(8) A building society shall not be obliged to disclose to a member making an application under this section any particulars contained in the register other than the names of the members and their addresses and may construct the register in such a way that it is possible to open the names and addresses to inspection without exposing any such other particulars.

(9) If a building society contravenes subsection (1) of this section the building society and every officer of the building society who is in default shall be guilty of an offence under this Act.

Name of building society

Power of registrar to disapprove name of building society.

28.—(1) No building society shall be registered under section seventeen or section twenty-two of the principal Act (which relate respectively to the first registration of the name of the building society and to a change of name) in a name which, in the opinion of the registrar, is undesirable.

(2) So much of the said sections seventeen and twenty-two as imposes restrictions as to the name under which a building society may be registered shall cease to have effect.

Special resolutions

29.—(1) A resolution shall be a special resolution when it has been passed by not less than three-fourths of the number of the members of the building society qualified to vote on a special resolution and voting in person or by proxy on a poll on the resolution at a meeting of the building society of which notice specifying the intention to move the resolution as a special resolution has been duly given. Special resolutions.

(2) The members qualified to vote on a special resolution at a meeting of a building society shall be all the members of the building society who were also members at the end of the last financial year before the date of the meeting, except that, if the rules of the building society so provide, members who, at the end of that financial year, or at the date of the meeting, did not hold shares in the building society to a value of one pound or more shall not be qualified to vote.

(3) For the purposes of this section—

- (a) notice of a meeting shall be deemed to be duly given if the notice is given in the manner provided by this Act and the rules of the building society,
- (b) the meeting of the building society shall be deemed to be duly held if it is held in the manner provided by the rules of the building society.

(4) Notwithstanding anything in the rules of a building society, the business which may be dealt with at the annual general meeting, or at any other meeting, shall include any resolution to be passed as a special resolution.

(5) In any rules made by a building society after the commencement of this Act the expression “special resolution” shall, unless the context otherwise requires, mean a special resolution as defined in this section.

(6) This section shall come into force as respects any resolution to be moved at a meeting held after the beginning of the year nineteen hundred and sixty-one.

30.—(1) If a member of a building society applies in writing to the building society and gives notice of his intention to move a special resolution at a meeting of the building society, it shall be the duty of the building society to include in the notice of the meeting a notice specifying the intention to move that resolution as a special resolution at the meeting. Duty of building society to include notices of members' special resolutions in notices of meetings.

(2) If the applicant does not specify the meeting at which he intends to move the resolution, or if he specifies a meeting which will be held fifty-six days or less after the receipt of the

notice by the building society, the building society shall act on the footing that he intends to move the special resolution at the first meeting of the building society held more than fifty-six days after the date of the application.

(3) If a building society fails to comply with an application duly made under this section, the building society and every officer of the building society who is in default shall be guilty of an offence under this Act.

(4) In this section the expression "special resolution" means a resolution which will not be effective unless it is passed as a special resolution.

Cases under existing law in which a special resolution is required.

31.—(1) A building society may alter or add to its rules by a special resolution, and any provision in its rules which authorises it to alter or add to its rules without passing a special resolution shall be void.

(2) In section thirty-three of the principal Act (under which two or more building societies may unite) for the words from "upon such terms" to the words "for the purpose" there shall be substituted the words—

"(a) if the terms of the union are approved by a special resolution (as defined in the Building Societies Act, 1960) of each of the societies, and

(b) if the union obtains the concurrence in writing of the holders of not less than two-thirds of the whole number of shares in each society, whether they are present at the meeting or not",

and section nineteen of the Building Societies Act, 1894 (which amends the said section thirty-three), shall cease to have effect.

(3) In section twenty-two and paragraph 4 of section thirty-two of the principal Act (which relate respectively to a change of name and to a winding up) for the references to a resolution of three-fourths of the members of a building society passed at a meeting called for the purpose there shall be substituted references to a special resolution, and in section five of the Societies (Miscellaneous Provisions) Act, 1940 (which relates to a transfer of engagements), for the references to a special resolution as defined by that section there shall be substituted references to a special resolution as defined by this Act.

Meetings

Rules to include certain provisions with respect to meetings.

32.—(1) The rules of a building society shall provide for the calling and holding of meetings, and in particular—

(a) for the right of members to requisition meetings,

(b) for the manner in which notice of any resolutions to be moved at meetings is to be given to members,

- (c) for the procedure to be observed at meetings,
- (d) for the form of notice for the convening of a meeting, and the manner of its service, and
- (e) for the voting rights of members, the right to demand a poll and the manner in which a poll is to be taken.

(2) A building society which was incorporated before the commencement of this Act, or which is an existing unincorporated building society, shall make such alterations in its rules as may be required for compliance with the foregoing subsection within fifteen months from the commencement of this Act.

(3) If and so far as a building society has not provided in its rules for a matter specified in subsection (1) of this section at the end of the said period of fifteen months, the provisions of the Fourth Schedule to this Act shall, as respects any meeting held after the end of that period, have effect as if they formed part of the rules of the building society; and a building society may, where it has by its rules provided for a matter specified in subsection (1) of this section, also by its rules expressly exclude the relevant provisions of that Schedule.

33.—(1) Every building society shall in the first four months of each financial year hold a meeting as its annual general meeting in addition to any other meetings in that year, and shall specify the meeting as such in the notices calling it: Annual
general
meeting.

Provided that a building society need not hold an annual general meeting in the calendar year in which it is incorporated, unless before its incorporation it was such an unincorporated building society as is mentioned in section seven of the principal Act.

(2) If in any financial year default is made in holding a meeting of a building society in accordance with the foregoing subsection, the Chief Registrar may call, or direct the calling of, an annual general meeting in that financial year, and give such ancillary or consequential directions as the Chief Registrar thinks expedient, including directions modifying or supplementing, in relation to the calling, holding and conducting of the meeting, the operation of the rules of the building society.

(3) If default is made in holding an annual general meeting of a building society in accordance with subsection (1) of this section, or in complying with any directions of the Chief Registrar under subsection (2) of this section, the building society and every officer of the building society who is in default shall be guilty of an offence under this Act.

(4) This section shall come into force as respects any building society established before the commencement of this Act—

- (a) where the year nineteen hundred and sixty-one constitutes a financial year of the building society, so as to require the holding of an annual general meeting in that financial year and in subsequent financial years, and
- (b) where the year nineteen hundred and sixty-one does not constitute a financial year of the building society, so as to require the holding of an annual general meeting in the financial year beginning in the year nineteen hundred and sixty-one and in subsequent financial years.

Length of
notice for
calling
meetings.

34.—(1) Any provision contained in the rules of a building society shall be void in so far as it provides for the calling of a meeting of the building society (other than an adjourned meeting) by a shorter notice than twenty-one days' notice in writing.

(2) Save in so far as the rules of a building society make other provision in that behalf (not being a provision avoided by the foregoing subsection) a meeting of a building society (other than an adjourned meeting) may be called by twenty-one days' notice in writing and where notice is given in accordance with this subsection the notice shall be deemed for the purposes of this Act or any other Act to have been duly given according to the rules of the building society.

(3) Notice of a meeting of a building society shall not be sent to members of the building society more than fifty-six days before the date of the meeting.

Persons to
whom notice
of meetings
is to be sent.

35.—(1) Written notice of any meeting of a building society which specifies the intention to propose a resolution as a special resolution at the meeting shall be sent to every member qualified to vote on a special resolution at the meeting.

(2) Subject to the provisions of subsection (1) of this section, written notice of any meeting of a building society shall be sent to every member of the building society except that, subject to the rules of the building society, notice of a meeting need not be sent to a member who does not hold shares in the building society to a value of twenty-five pounds or more at the end of the financial year preceding that in which notices are sent or, if the building society was established in the calendar year in which notices are being sent, at the time at which the notices are sent.

(3) The accidental omission to give notice of a meeting to, or the non-receipt of notice of a meeting by, any person entitled to receive notice shall not invalidate the proceedings at that meeting.

(4) This section shall come into force as respects any building society established before the commencement of this Act so as to apply in relation to any meeting of the building society held after the beginning of the year nineteen hundred and sixty-one.

36.—(1) Any member of a building society entitled to attend and vote at a meeting of the building society shall be entitled to appoint another person (whether a member or not) as his proxy to attend and vote instead of him:

Provided that, unless the rules of the building society otherwise provide, a proxy shall not be entitled to vote except on a poll.

(2) In every notice calling a meeting of a building society there shall appear with reasonable prominence a statement that a member entitled to attend and vote is entitled to appoint a proxy or, where that is allowed, one or more proxies to attend and vote instead of him, and that a proxy need not also be a member; and if default is made in complying with this subsection as respects any meeting, every officer of the building society who is in default shall be guilty of an offence under this Act.

(3) Any provision contained in the rules of a building society shall be void in so far as it would have the effect of requiring the instrument appointing a proxy, or any other document necessary to show the validity of or otherwise relating to the appointment of a proxy, to be received by the building society or any other person more than forty-eight hours before a meeting or adjourned meeting in order that the appointment may be effective thereat.

(4) This section shall come into force as respects any building society established before the commencement of this Act so as to apply in relation to any meeting of the building society held after the beginning of the year nineteen hundred and sixty-one.

37.—(1) Any provision contained in the rules of a building society shall be void in so far as it would have the effect either— Right to demand a poll.

- (a) of excluding the right to demand a poll at a meeting of the building society on any question other than the election of a chairman of the meeting or the adjournment of the meeting, or
- (b) of making ineffective a demand for a poll on any such question which is made by not less than ten members having the right to vote at the meeting.

(2) The instrument appointing a proxy to vote at a meeting of the building society shall be deemed also to confer authority to demand or join in demanding a poll, and for the purposes

of the foregoing subsection a demand by a person as proxy of a member shall be the same as a demand by the member.

Accounts and audit

Keeping
of books of
account
and office
management.

38.—(1) Every building society shall cause to be kept proper books of account with respect to its transactions and its assets and liabilities.

For the purposes of this subsection, proper books of account shall not be deemed to be kept with respect to the matters mentioned in this subsection if there are not kept such books as are necessary to give a true and fair view of the state of the affairs of the building society and to explain its transactions.

(2) Every building society shall establish and maintain a system of control and inspection of its books of account and a system for supervising its cash holdings, and all receipts and remittances.

(3) Every building society shall establish and maintain a system to ensure the safe custody of all documents of title belonging to the building society and of the deeds relating to property mortgaged to the building society, and for the purposes of this subsection a building society shall not be deemed to have established a proper system unless, under the system, on each occasion on which any such document of title or deed is released from the custody of the officers of the building society, the consent is obtained of the board of directors of the building society, or of a person authorised by the board of directors of the building society to give such a consent.

(4) If a director of a building society fails to take all reasonable steps to secure compliance by the building society with the requirements of this section, or has by his own wilful act been the cause of any default by the building society thereunder, he shall, in respect of each offence, be liable on summary conviction to a fine not exceeding two hundred pounds or to imprisonment for a term not exceeding six months:

Provided that—

(a) in any proceedings against a person in respect of an offence under this section consisting of a failure to take reasonable steps to secure compliance by the building society with the requirements of this section, it shall be a defence to prove that he had reasonable ground to believe and did believe that a competent and reliable person was charged with the duty of seeing that those requirements were complied with and was in a position to discharge that duty, and

(b) a person shall not be sentenced to imprisonment for such an offence unless, in the opinion of the court

dealing with the case, the offence was committed wilfully.

39.—(1) The directors of every building society shall lay before the building society at the annual general meeting—

Revenue and appropriation account and balance sheet.

(a) a revenue and appropriation account for the last financial year ending before the date of the annual general meeting, and

(b) a balance sheet as at the end of that financial year.

(2) If a director of a building society fails to take all reasonable steps to comply with the provisions of this section, he shall, in respect of each offence, be liable on summary conviction to a fine not exceeding two hundred pounds or to imprisonment for a term not exceeding six months:

Provided that—

(a) in any proceedings against a person in respect of an offence under this section, it shall be a defence to prove that he had reasonable ground to believe and did believe that a competent and reliable person was charged with the duty of seeing that the provisions of this section were complied with and was in a position to discharge that duty, and

(b) a person shall not be sentenced to imprisonment for such an offence unless, in the opinion of the court dealing with the case, the offence was committed wilfully.

40.—(1) Every balance sheet of a building society shall give a true and fair view of the state of the affairs of the building society as at the end of its financial year, and every revenue and appropriation account of a building society shall give a true and fair view of the income and expenditure of the building society for the financial year.

General provisions as to contents and form of accounts.

(2) The Chief Registrar shall have power with the consent of the Treasury by statutory instrument to make regulations as to the particulars to be included in, and the form of, a building society's balance sheet and revenue and appropriation account; and regulations under this section may require the inclusion in the balance sheet and revenue and appropriation account of corresponding particulars for a preceding financial year of the building society.

(3) The requirements of regulations under the last foregoing subsection shall be without prejudice to the general requirements of subsection (1) of this section or to any other requirements of this Act or any other enactment relating to building societies.

(4) If a director of a building society fails to take all reasonable steps to secure compliance as respects any balance sheet

or revenue and appropriation account laid before the building society at the annual general meeting with the provisions of this section or of regulations made under this section he shall, in respect of each offence, be liable on summary conviction to a fine not exceeding two hundred pounds or to imprisonment for a term not exceeding six months:

Provided that—

- (a) in any proceedings against a person in respect of an offence under this section it shall be a defence to prove that he had reasonable ground to believe and did believe that a competent and reliable person was charged with the duty of seeing that the said provisions were complied with and was in a position to discharge that duty, and
- (b) a person shall not be sentenced to imprisonment for any such offence unless, in the opinion of the court dealing with the case, the offence was committed wilfully.

Signing of
balance sheet.

41.—(1) Every balance sheet of a building society shall be signed on behalf of the building society's directors by two of the directors, and by the manager or secretary of the building society.

(2) If any copy of a balance sheet which has not been signed as required by this section is issued, circulated or published, the building society and every officer of the building society who is in default shall be guilty of an offence under this Act.

Accounts
and auditors'
report to be
annexed to
balance sheet.

42.—(1) The revenue and appropriation account shall be annexed to the balance sheet, and the auditors' report shall be attached thereto.

(2) The revenue and appropriation account so annexed shall be approved by the board of directors of the building society before the balance sheet is signed on their behalf.

(3) If any copy of a balance sheet is issued, circulated or published without having annexed thereto a copy of the revenue and appropriation account, or without having attached thereto a copy of the auditors' report, the building society and every officer of the building society who is in default shall be guilty of an offence under this Act.

Directors'
report.

43.—(1) The directors shall prepare for submission at the annual general meeting a report on the state of the affairs of the building society.

(2) The directors' report shall be attached to the balance sheet and if any copy of a balance sheet is issued, circulated or published without having attached thereto a copy of the directors'

report, the building society and every officer of the building society who is in default shall be guilty of an offence under this Act.

(3) The directors' report shall include a statement setting out for the financial year last ending before the annual general meeting at which the directors' report is submitted—

- (a) the total amount advanced during the financial year by the building society on the security of freehold or leasehold estate, and the total number of mortgages executed in favour of the building society during that year ;
- (b) the proportion of the said total amount advanced by the building society which represents special advances as defined in section one of this Act and the number of mortgages executed during that financial year to secure such special advances ;
- (c) the total amount of money received during the financial year by way of investments in or loans to the building society from members or depositors, and the total amount of money paid out by the building society by way of repayment of the principal value of shares in the building society, or repayment of sums lent to the building society by depositors ;
- (d) the number of cases in which a mortgagor was at the end of the financial year in arrears with payments due to the building society under his mortgage on account of principal and interest to an amount which exceeded the amount which fell due under the mortgage on account of principal and interest in that financial year ; and
- (e) the total of the amounts of the arrears at the end of the financial year in all the cases falling within the last foregoing paragraph.

44.—(1) A copy of every balance sheet, including every document required by law to be annexed thereto, which is to be laid before a building society at the annual general meeting together with a copy of the auditors' report, and of the directors' report, shall, not less than twenty-one days before the date of the meeting, be sent to the Chief Registrar and to every member of the building society, other than a member who does not hold shares in the building society to the value of twenty-five pounds or more at the end of the financial year to which the balance sheet relates.

Right to receive copies of balance sheet and auditors' report.

(2) Any member of a building society, whether he is or is not entitled to have sent to him copies of the building society's balance sheets, and every depositor in a building society, shall

be entitled to be furnished on demand without charge with a copy of the last balance sheet of the building society, including every document required by law to be annexed thereto, together with a copy of the auditors' report and of the directors' report.

(3) If default is made in complying with subsection (1) of this section or if, when any person makes a demand for any document with which he is by virtue of subsection (2) of this section entitled to be furnished, default is made in complying with the demand within seven days after the making thereof, the building society and every officer of the building society who is in default shall be guilty of an offence under this Act.

**Auditors'
report.**

45.—(1) The auditors of a building society shall make a report to the members on the accounts examined by them, and on every balance sheet and every revenue and appropriation account laid before the building society at the annual general meeting during their tenure of office.

(2) The auditors' report shall be read before the building society at the annual general meeting and shall be open to inspection by any member.

(3) The report shall state whether the balance sheet and revenue and appropriation account are properly drawn up in accordance with the requirements of this Act and the regulations made thereunder and whether, in the opinion of the auditors, they give a true and fair view—

(a) in the case of the balance sheet, of the state of the building society's affairs as at the end of its financial year; and

(b) in the case of the revenue and appropriation account, of the income and expenditure of the building society for its financial year.

(4) It shall be the duty of the auditors of a building society in preparing their report under this section to carry out such investigations as will enable them to form an opinion—

(a) as to whether the building society has kept proper books of account and proper records of the matters referred to in subsection (4) of section fourteen of this Act, and

(b) as to whether the building society has maintained a satisfactory system of control over its transactions and records, and, in particular, whether the requirements of subsections (2) and (3) of section thirty-eight of this Act have been complied with, and

(c) as to whether the balance sheet and revenue and appropriation account are in agreement with the books of account and records of the building society,

and if the auditors are of opinion that the building society has failed to keep proper books of account or proper records of the matters referred to in subsection (4) of section fourteen of this Act, or to maintain a satisfactory system of control over its transactions and records, or if the balance sheet and revenue and appropriation account are not in agreement with the books of account and records of the building society, the auditors shall state that fact in their report.

(5) Every auditor of a building society shall have a right of access at all times to the books, accounts, records and vouchers of the building society and to all other documents relating to the affairs of the building society (including the deeds relating to property mortgaged to the building society), and shall be entitled to require from the officers of the building society such information and explanations as he thinks necessary for the performance of the duties of the auditors; and if the auditors fail to obtain all the information and explanations which to the best of their knowledge and belief are necessary for the purposes of their audit, they shall state that fact in their report.

(6) The auditors of a building society shall be entitled to attend any general meeting of the building society and to receive all notices of and other communications relating to any general meeting which any member of the building society is entitled to receive, and to be heard at any meeting which they attend on any part of the business of the meeting which concerns them as auditors.

46.—(1) Every building society shall at each annual general Appointment meeting appoint an auditor or auditors to hold office from the of auditors. conclusion of that meeting until the conclusion of the next annual general meeting.

(2) At any annual general meeting a retiring auditor, however appointed, shall be re-appointed without any resolution being passed unless—

- (a) he is not qualified for re-appointment, or
- (b) a resolution has been passed at that meeting appointing somebody instead of him or providing expressly that he shall not be re-appointed, or
- (c) he has given the building society notice in writing of his unwillingness to be re-appointed:

Provided that where notice is given of an intended resolution to appoint some person or persons in place of a retiring auditor, and by reason of the death, incapacity or disqualification of that person or of those persons, as the case may be, the resolution

cannot be proceeded with, the retiring auditor shall not be automatically re-appointed by virtue of this subsection.

(3) Subject to the provisions of this and the next following section, the first auditors of a building society may be appointed by the directors of the building society at any time before the first annual general meeting, and auditors so appointed shall hold office until the conclusion of that meeting:

Provided that—

- (a) the building society may at a meeting remove any such auditors and appoint in their place any other persons who have been nominated for appointment by any member of the building society and of whose nomination notice has been given to the members of the building society not less than fourteen days before the date of the meeting, and
- (b) if the directors fail to exercise their powers under this subsection, the building society in general meeting may appoint the first auditors, and thereupon the said powers of the directors shall cease.

(4) The directors may fill any casual vacancy in the office of auditor, but while any such vacancy continues, the surviving or continuing auditor or auditors, if any, may act.

Provisions as to resolutions relating to appointment and removal of auditors.

47.—(1) A resolution at a building society's annual general meeting—

- (a) appointing as auditor a person other than a retiring auditor, or
- (b) providing expressly that a retiring auditor shall not be re-appointed,

shall not be effective unless notice of the intention to move it has been given to the building society not less than twenty-eight days before the meeting at which it is moved:

Provided that if, after notice of the intention to move such a resolution has been given to the building society, the annual general meeting is called for a date less than twenty-eight days after the notice has been given, the notice though not given within the time required by this subsection shall be deemed to have been properly given for the purposes thereof.

(2) The building society shall give to its members notice of any such resolution at the same time and in the same manner as it gives notice of the meeting or, if that is not practicable, shall give them notice thereof, either by advertisement in a newspaper having an appropriate circulation or in any other mode allowed by the rules of the building society, not less than twenty-one days before the meeting.

(3) On receipt of notice under subsection (1) of this section of such an intended resolution as aforesaid, the building society shall forthwith send a copy thereof to the retiring auditor (if any).

(4) Where a notice is given of such an intended resolution as aforesaid and the retiring auditor makes with respect to the intended resolution representations in writing to the building society (not exceeding a reasonable length) and requests their notification to members of the building society, the building society shall, unless the representations are received too late for it to do so,—

- (a) in any notice of the resolution given to members of the building society, state the fact of the representations having been made, and
- (b) send a copy of the representations to every member of the building society to whom notice of the meeting is sent (whether before or after receipt of the representations by the building society),

and if a copy of the representations is not sent as aforesaid because received too late or because of the building society's default, the auditor may (without prejudice to his right to be heard orally) require that the representations shall be read out at the meeting:

Provided that copies of the representations need not be sent out and the representations need not be read out at the meeting if, on the application either of the building society or of any other person who claims to be aggrieved, the High Court, or, where the building society has its chief office in Scotland, the Court of Session, is satisfied that the rights conferred by this section are being abused to secure needless publicity for defamatory matter; and the court may order the building society's costs on an application under this section to be paid in whole or in part by the auditor, notwithstanding that he is not a party to the application.

(5) The last foregoing subsection shall apply to a resolution to remove the first auditors of a building society by virtue of subsection (3) of the last foregoing section as it applies in relation to a resolution that a retiring auditor shall not be re-appointed.

48.—(1) Notwithstanding anything in the rules of any building society, no person shall be appointed as auditor of a building society unless he is a member of one or more of the following bodies—

**Qualifications
of auditors.**

- (a) the Institute of Chartered Accountants in England and Wales;
- (b) the Institute of Chartered Accountants of Scotland;
- (c) the Association of Certified and Corporate Accountants;
- (d) the Institute of Chartered Accountants in Ireland;

- (e) any other body of accountants established in the United Kingdom and for the time being recognised for the purposes of paragraph (a) of subsection (1) of section one hundred and sixty-one of the Companies Act, 1948, by the Board of Trade:

Provided that a person who is an auditor of a building society at the commencement of this Act shall, notwithstanding that he is not at the time a member of any of the said bodies, be qualified for appointment or re-appointment as an auditor of that building society at any annual general meeting of the building society if he is at the time of the said meeting authorised under paragraph (b) of subsection (1) of the said section one hundred and sixty-one to be appointed as auditor of a company.

(2) Notwithstanding anything in the rules of any building society, none of the following persons shall be appointed as auditor of a building society—

- (a) an officer or servant of the building society;
- (b) a person who is a partner of or in the employment of, or who employs, an officer or servant of the building society;
- (c) a body corporate.

References in this subsection to an officer or servant shall be construed as not including references to an auditor.

(3) Nothing in this section shall prevent the appointment as auditor of a building society of a Scottish firm none of the partners of which is disqualified for appointment as such by virtue of this section.

(4) Any body corporate which is appointed as auditor of a building society in contravention of subsection (2) of this section, and acts under the appointment, shall be liable on summary conviction to a fine not exceeding two hundred pounds.

Commence-
ment of
provisions
relating to
accounts,
directors'
report and
audit.

49.—(1) Sections thirty-nine to forty-seven of this Act shall come into force as respects any building society established before the commencement of this Act so as to apply in relation to the first annual general meeting required to be held by the building society in pursuance of section thirty-three of this Act, and to any balance sheet, revenue and appropriation account, or auditors' or directors' report required to be laid or read before, or submitted to, that annual general meeting.

(2) The provisions of section forty-eight of this Act shall come into force as respects any building society established before the commencement of this Act so as to apply in relation to the

appointment of an auditor at any time beginning with the first annual general meeting required to be held in pursuance of section thirty-three of this Act.

The Annual Return

50.—(1) Every building society shall in the first three months of any financial year in which it is required under section thirty-three of this Act to hold an annual general meeting, make to the Chief Registrar a return (hereafter in this Act referred to as “the annual return”) relating to the affairs of the building society for the previous financial year. Making of annual return.

(2) The annual return shall be signed by two of the directors, and by the manager or secretary of the building society.

(3) The annual return shall contain such information and shall be in such form as the Chief Registrar may prescribe by regulations made with the consent of the Treasury and contained in a statutory instrument.

(4) A copy of the latest annual return for any financial year (with the auditors' report) shall be supplied on demand to any member of or depositor in the building society without charge on or after the date of the holding of the annual general meeting in the following financial year.

(5) If a building society fails to comply with any of the provisions of this section or of regulations made under this section, the building society and every officer of the building society who is in default shall be guilty of an offence under this Act.

(6) No annual account and statement shall be prepared under section forty of the principal Act for any financial year for which an annual return is required under this section and references in the Building Societies Acts, 1874 to 1940, to any such annual account and statement shall, in relation to any financial year for which an annual return is required under this section, be taken as references to the annual return.

51.—(1) The auditors of a building society shall make a report on the annual return which shall be annexed to the annual return made to the Chief Registrar. Auditors' report on annual return.

(2) Regulations under the last foregoing section may provide that the auditors of the building society shall not be required in their report on the annual return to deal with such of the matters to be contained in the annual return as may be prescribed by the regulations for the purposes of this subsection.

(3) The auditors' report on the annual return shall contain statements—

- (a) as to whether in their opinion the annual return is properly drawn up in accordance with the requirements of this Act and regulations made thereunder, and

- (b) as to whether the annual return gives a true and fair view of the matters to which it is to be addressed (other than those with which the auditors are, by virtue of regulations made in pursuance of the last foregoing subsection, not required to deal), and
- (c) as to whether the annual return is in agreement with the books of account and records of the building society.

Directors and other officers

Disclosure by
directors of
interests in
contracts.

52.—(1) Subject to the provisions of this section, it shall be the duty of a director of a building society who is in any way, whether directly or indirectly, interested in a contract or proposed contract with the building society to declare the nature of his interest to the board of directors of the building society in accordance with this section.

(2) In the case of a proposed contract the declaration required by this section to be made by a director shall be made at the meeting of the directors at which the question of entering into the contract is first taken into consideration, or if the director was not at the date of that meeting interested in the proposed contract, at the next meeting of the directors held after he becomes so interested, and in a case where the director becomes interested in a contract after it is made, the said declaration shall be made at the first meeting of the directors held after the director becomes so interested.

(3) For the purposes of this section, a general notice given at a meeting of the directors of the building society by a director to the effect that he is a member of a specified company or firm and is to be regarded as interested in any contract which may, after the date of the notice, be made with that company or firm, shall be deemed to be a sufficient declaration of interest in relation to any contract so made.

(4) A director need not make a declaration or give a notice under this section by attending in person at a meeting of the directors if he takes reasonable steps to secure that the declaration or notice is brought up and read at that meeting.

(5) A director who fails to comply with the provisions of this section shall be guilty of an offence under this Act.

(6) Nothing in this section shall be taken to prejudice the operation of any rule of law restricting directors of a building society from having any interest in contracts with the building society.

53.—(1) Where after the commencement of this Act any person becomes or ceases to be a director or the manager or secretary of a building society, the building society shall within a period of one month give a notice to the registrar stating the full name and address of that person, and particulars of the office which he has taken or relinquished.

(2) If a building society fails to comply with this section the building society and every officer of the building society who is in default shall be guilty of an offence under this Act.

54.—(1) Every annual return shall contain particulars showing the amount of any advances made by the building society during the financial year to which it relates—

- (a) to any director or the manager or secretary of the building society, or
- (b) to any person who, after the making of the advance, became a director or the manager or secretary of the building society in that year, or
- (c) to a company or other body corporate in which, when the advance was made, or at any later time in the said financial year, a director or the manager or secretary of the building society held, either directly or through a nominee, shares the nominal value of which exceeded two and a half per cent. of the total paid up share capital of the company or other body corporate, or
- (d) to a company or other body corporate of which, when the advance was made, or at any later time in the said financial year, a director or the manager or secretary of the building society was a director, general manager, secretary or other similar officer,

and also, in the case of an advance under paragraph (c) of this subsection, particulars of the officer's shareholding.

(2) It shall be the duty of any director and the manager and the secretary of a building society to give notice in writing to the building society of such matters relating to his employment by, or other interest in, any company or other body corporate as may be necessary for the purposes of the foregoing subsection, and a person failing to comply with this subsection shall be guilty of an offence under this Act:

Provided that in any proceedings against a person in respect of an offence under this subsection it shall be a defence to prove that he did not know at the time of the alleged offence that the building society had made the advance to the body corporate in question and that at that time reasonable arrangements were in operation to bring to his notice any advance made by the building society to any body corporate.

Notification to registrar of changes in officers of a building society.

Disclosure of advances to directors or officers or to companies in which they are interested.

(3) If the requirements of subsection (1) of this section are not complied with, it shall be the duty of the auditors of the building society to include in their report, so far as they are reasonably able to do so, a statement giving the required particulars.

Officers not to take commissions for insurance business connected with the making of advances.

55.—(1) Where—

- (a) a charge upon a policy of life assurance is given as additional security for an advance made by a building society, or
- (b) a building society makes an additional advance to enable payment to be made of a premium on a policy of insurance, or
- (c) any policy of insurance is taken out so as to comply with the terms on which an advance is made by a building society, whether by way of insuring the property given as security for the advance or otherwise,

and the policy is effected through the building society, or the building society nominates or selects the person by whom the policy is to be issued, it shall be unlawful for a director or other officer of the building society in connection with the effecting of the policy to receive any gift, bonus, commission or benefit from a person by or through whom the policy was issued.

(2) A person who pays, and a person who accepts, any gift, bonus, commission or benefit which it is unlawful to receive under the foregoing subsection shall be liable on summary conviction to a fine not exceeding fifty pounds or to imprisonment for a term not exceeding six months.

Unions and transfers of engagements

Information to be given on unions and transfers of engagements.

56.—(1) Where it is proposed that two or more building societies should unite under section thirty-three of the principal Act or that a building society should transfer its engagements to another building society under section five of the Societies (Miscellaneous Provisions) Act, 1940, each of the building societies shall, unless the Chief Registrar has by notice in writing exempted the building society from the requirements of this section, send to each member of that building society at his address as recorded in the register of members a statement the contents of which has been approved by the Chief Registrar concerning—

- (a) the financial position of that building society and the other building societies concerned,
- (b) the interest of the directors of the building society which is sending the statement in the union or transfer of engagements,

- (c) the compensation or other consideration proposed to be paid to the directors or other officers of that building society, and of the other building societies concerned, and
- (d) the payments, if any, to be made to members of the building society, and of the other building societies concerned, in consideration of the union or transfer of engagements.

(2) The statement under this section shall be sent so as to be received by any member to whom the building society sends notice of a resolution to be moved at a meeting of the building society for the union or, as the case may be, the transfer of engagements to which the statement relates not later than he receives that notice.

(3) Where for the purposes of the said section thirty-three the building society applies to all or any of the members of the building society to obtain their concurrence with the proposals, the statement shall, without prejudice to the provisions of subsection (2) of this section, be sent so as to be received by a member at or before the time when the application is made to him.

(4) Where for the purposes of the said section five of the Act of 1940 the building society applies to all or any of the members of the building society to obtain their consent to the proposals, the statement shall, without prejudice to the provisions of subsection (2) of this section, be sent so as to be received by a member at or before the time when the application is made to him.

(5) A failure to comply with the provisions of this section shall not invalidate the union or transfer of engagements, but if a building society fails to comply with this section the building society and every officer of the building society who is in default shall be guilty of an offence under this Act.

(6) Section twenty-two of the Building Societies Act, 1894 (which imposes liability to a penalty for false statements), shall apply in relation to a statement issued in pursuance of this section by a building society as it applies in relation to any such document as is mentioned in that section.

57.—(1) A building society may, subject to the provisions of this section, by a special resolution transfer its engagements to a building society of Northern Ireland which undertakes to fulfil those engagements; and a building society may, subject to the provisions of this section, undertake to fulfil the engagements of a building society of Northern Ireland by a special resolution or, with the consent of the registrar, by a resolution of a general meeting or of the board of the building society.

Transfers of engagements and unions which involve a building society of Northern Ireland.

(2) The transfer of engagements shall not take effect by virtue of this section unless or until the consent thereto in writing of the holders of not less than two-thirds of the whole number of shares of the building society acting under this section has been obtained:

Provided that if that building society makes an application to the registrar and publishes notice of the application in the London and Edinburgh Gazettes, the registrar may, after hearing the building society and any other persons whom he considers entitled to be heard, confirm the transfer of engagements notwithstanding that the concurrence of the holders of two-thirds of the whole number of shares in the building society has not been obtained in the manner required by the foregoing provisions of this subsection.

(3) The transfer of engagements shall not take effect by virtue of this section until the registrar has given his consent in writing to the transfer, and he shall not give that consent unless he is satisfied that the transfer of engagements will also take effect under the law of Northern Ireland.

(4) The registrar on giving his consent under the last foregoing subsection shall register the transfer of engagements and thereupon section five of the Building Societies Act, 1877 (which provides for giving effect to transfers of engagements), shall, so far as it forms part of the law of Great Britain, apply to the transfer of engagements.

(5) Section fifty-six of this Act shall apply in relation to a building society which proposes to act under this section as it applies to a building society proposing to become a party to a transfer of engagements under section five of the Societies (Miscellaneous Provisions) Act, 1940, but as if in the said section fifty-six—

(a) references to the other building societies concerned included references to any building society of Northern Ireland concerned, and

(b) references to section five of the said Act of 1940 were references to this section,

and the statement under the said section fifty-six as applied by this subsection shall indicate that the other party to the transfer of engagements is a building society of Northern Ireland or, as the case may be, that one or more of the other parties is or are a building society or building societies of Northern Ireland.

(6) A building society may not, under section thirty-three of the principal Act, unite with a building society of Northern Ireland.

(7) In this section the expression "building society of Northern Ireland" means a building society which is, or, for the purposes of the Building Societies Acts, 1874 to 1894, is deemed to be, registered in Northern Ireland; and references to a building society acting under this section do not include references to any such society.

Offences

58.—(1) In section twenty-two of the Building Societies Act, 1894 (which imposes liability to a penalty not exceeding fifty pounds for false entries in documents to be sent to the registrar under the Building Societies Acts), for the words "required by the Building Societies Acts to be sent to the registrar" there shall be substituted the words "sent to the Chief Registrar of Friendly Societies or the registrar under or in pursuance of the Building Societies Acts, 1874 to 1960", and for the words "liable on summary conviction to a fine not exceeding fifty pounds", there shall be substituted the words "liable—

False entries in documents sent to Chief Registrar or registrar.

- (a) on conviction on indictment to a fine or to imprisonment for a term not exceeding two years, or to both, and
- (b) on summary conviction to a fine not exceeding two hundred pounds or to imprisonment for a term not exceeding three months, or to both."

(2) This section shall not apply to an offence committed before the commencement of this Act.

59.—(1) In section thirty-one of the principal Act (which provides that a person fraudulently withholding the property of a building society shall be liable to summary prosecution as well as to prosecution on indictment) for the words from "liable on summary conviction" to the end of the section there shall be substituted the words "liable—

Fraudulent withholding of money.

- (a) on conviction on indictment to a fine or to imprisonment for a term not exceeding two years, or to both, and
- (b) on summary conviction to a fine not exceeding two hundred pounds or to imprisonment for a term not exceeding three months, or to both,

and the court by or before whom he is convicted may order him to deliver up to the society all such money, securities, books, papers or other effects of the society, and to repay the amount of money applied improperly."

(2) The Chief Registrar shall be included among the persons who under section eighteen of the Building Societies Act, 1894, may take proceedings under section thirty-one of the principal Act.

(3) This section shall not apply to an offence committed before the commencement of this Act.

Failure to sell
property after
foreclosure,
etc.

60.—(1) If a building society contravenes the proviso to section thirteen of the principal Act (which directs that land mortgaged to a building society shall, if the building society becomes absolutely entitled to the land, be sold or converted into money) the building society shall be liable on conviction on indictment or on summary conviction to a fine which, on summary conviction, shall not exceed two hundred pounds and every officer of the building society who is in default shall be liable—

- (a) on conviction on indictment to a fine or to imprisonment for a term not exceeding two years, or to both, and
- (b) on summary conviction to a fine not exceeding two hundred pounds or to imprisonment for a term not exceeding three months, or to both.

(2) This section shall not apply to an offence committed before the commencement of this Act.

Increase of
certain other
penalties.

61.—(1) If a building society—

- (a) fails to comply with the requirements of section seventeen of the principal Act as to supplying a copy of its rules to any person, or
- (b) fails to send to the registrar or the Chief Registrar any notice, return or other document which the building society is required to send to him under section eighteen, twenty-two, thirty-two or thirty-three of the principal Act or under section two of the Building Societies Act, 1877, or under subsection (2) of section thirteen of the Building Societies Act, 1939, or under subsection (1) of section five of the Societies (Miscellaneous Provisions) Act, 1940, or
- (c) fails to allow an inspector appointed under section five of the Building Societies Act, 1894, to do anything which he is authorised to do under subsection (3) of that section (which relates to the production of books and the examination of the officers of the building society),

the building society and every officer of the building society who is in default shall be guilty of an offence under this Act.

(2) Section twenty-one of the Building Societies Act, 1894, and so much of section fifteen of the Building Societies Act, 1939, as relates to offences under subsection (2) of section thirteen of that Act shall cease to have effect.

(3) This section shall not apply to an offence committed before the commencement of this Act.

62. A building society guilty of an offence under this Act for which no penalty is expressly provided, and any person other than a building society guilty of an offence under this Act for which no penalty is expressly provided, shall be liable on summary conviction to a fine not exceeding two hundred pounds.

General penalties for offences.

63. An unincorporated building society such as is mentioned in section seven of the principal Act shall not be liable to any penalty under this Act, but this section shall be without prejudice to the liability under this Act of an officer of any such building society who is in default.

Criminal liability not to attach to unincorporated societies.

64.—(1) Notwithstanding any limitation on the time for the taking of proceedings contained in any Act, summary proceedings for any offence under this Act or for any offence under the Building Societies Acts, 1874 to 1940, committed after the commencement of this Act may, subject to the provisions of the next following subsection, be commenced by the Chief Registrar at any time within the period of one year beginning with the date on which evidence, sufficient in the opinion of the Chief Registrar to justify a prosecution for the offence, comes to his knowledge; and for the purposes of this subsection a certificate, purporting to be signed by or on behalf of the Chief Registrar, as to the date on which such evidence came to his knowledge shall be conclusive evidence thereof.

Time limit for commencement of summary proceedings.

(2) Nothing in the foregoing subsection shall authorise the commencement of proceedings for any offence at a time more than three years after the date on which the offence was committed.

(3) This section shall have effect in its application to Scotland as if, in subsection (1), the words "by the Chief Registrar" were omitted.

Supplemental

65.—(1) Except where the rules of a building society otherwise provide, any notice or other document may be given or sent by the building society to the joint holders of shares in the building society by giving or sending it to the joint holder who is first named in their books (hereafter in this section referred to as the senior joint holder), but this subsection shall not be read as preventing any joint holder of shares from exercising the right under this Act of a member to obtain from a building society on demand a copy of the balance sheet or of the annual return.

Joint shareholders.

(2) Any shares in a building society which are held jointly shall, for the purpose of determining who is qualified to vote,

whether in person or by proxy, on any resolution at a meeting held after the commencement of this Act and, where relevant, the number of votes any person may then give, be regarded as held by the senior of the joint holders alone; and accordingly a person who is only a member of a building society by reason of being a joint holder of shares, other than the senior joint holder, shall not be qualified to vote on any such resolution.

(3) For the purposes of the following enactments (under which the consent or concurrence of a certain number of members of a building society is required)—

(a) paragraph 3 of section thirty-two of the principal Act, and

(b) paragraph (b) of section thirty-three of that Act, as amended by this Act, and

(c) section five of the Societies (Miscellaneous Provisions) Act, 1940, and

(d) section fifty-seven of this Act,

any shares in a building society which are held jointly shall be regarded as held by the senior of the joint holders alone, and accordingly a person who is only a member of a building society by reason of being a joint holder of shares, other than the senior joint holder, shall not for the purposes of those enactments be regarded as being a member.

(4) The senior joint holder, and not any of the others, shall have the right to join in making any application under section five or section seven of the Building Societies Act, 1894 (which confer certain powers of inspection and investigation), and any reference in those sections to the total membership of a building society shall be read accordingly.

(5) The name and address of any person who is a joint holder of shares in a building society, other than the senior joint holder, need not on that account be entered in the register to be maintained under section twenty-seven of this Act, and if a name and address is so entered the entry shall indicate that the person named is a joint holder who is not the senior joint holder.

(6) Joint holders of shares in a building society shall be entitled to choose the order in which they are named in the books of the building society.

**Form of
registers, etc.**

66.—(1) Any register, record or book of account to be kept by a building society may be kept either by making entries in bound books or by recording the matters in question in any other manner.

(2) Where any such register, record or book of account is not kept by making entries in a bound book but by some other means, adequate precautions shall be taken for guarding against

falsification and facilitating its discovery, and where default is made in complying with this subsection, the building society and every officer of the building society who is in default shall be guilty of an offence under this Act.

67.—(1) Without prejudice to any other power in that behalf conferred on him by this Act, the Chief Registrar shall have power with the consent of the Treasury by statutory instrument to make regulations with respect to—

Regulations with respect to form, &c., of documents, and fees.

- (a) the form of, and the particulars to be included in, any certificate issued under the enactments relating to building societies, and any application, notice or other document made or sent to the Chief Registrar or the registrar under or in pursuance of those enactments; and
- (b) the fees to be paid for the inspection, or the furnishing of copies, of any document in the custody of the Chief Registrar or the registrar, or in connection with the exercise by the Chief Registrar or the registrar of any of their functions under the said enactments.

(2) Section twenty-six of, and the Third Schedule to, the Building Societies Act, 1894 (which prescribe the form of certain certificates issued by the registrar), shall have effect as if contained in regulations under this section and may be varied or repealed accordingly.

(3) Section forty-four of the principal Act (which confers a power to make regulations with respect to certain fees, and generally for the purpose of carrying into effect the enactments relating to building societies), and so much of subsection (2) of section thirteen of the Building Societies Act, 1939, as provides for the form and contents of the return required by that subsection to be prescribed by rules under the said Act of 1939, shall cease to have effect.

(4) Nothing in the last foregoing subsection shall affect the continuance in force of any regulations in force at the commencement of this Act under section forty-four of the principal Act, or of any rules under the Building Societies Act, 1939, in force at that date and relating to the return required by subsection (2) of section thirteen of the said Act of 1939; but—

- (a) such of the said regulations as could have been made under this section shall have effect as if they had been so made, and may be varied or revoked accordingly;
- (b) such of the said regulations as could not have been so made may be revoked (but not varied) by regulations under this section; and
- (c) the said rules may be varied or revoked by regulations under this section.

Appointment of deputy to act in place of Chief Registrar.

68. The Treasury may at any time when they are satisfied that the Chief Registrar is or will be absent from the United Kingdom or for any other reason unable to perform his functions in relation to building societies, appoint a person on such terms as may be specified in the appointment to act as deputy for the Chief Registrar; and a deputy so appointed may exercise all the powers of the Chief Registrar under this Act and the Building Societies Acts, 1874 to 1940.

Proceedings on a petition by Chief Registrar for winding up a building society.

69.—(1) Where the Chief Registrar in exercise of the power conferred on him by any provision of this Act presents a petition for the winding up of a building society under the Companies Act, 1948, the court may, if it thinks fit, having regard to the interests of those members of the building society, if any, who were not responsible for the default which was the occasion of the petition being presented, and to all the other circumstances, refuse to make an order for winding up, and may make its refusal subject to any conditions.

(2) The conditions which the court may impose under the foregoing subsection or under section two hundred and fifty-six of the Companies Act, 1948 (which authorises the court to stay proceedings after the making of an order for winding up), may include conditions for securing—

- (a) that the building society be dissolved in one of the ways mentioned in section thirty-two of the principal Act, or
- (b) that the building society unite under section thirty-three of the principal Act with another building society or that it transfer its engagements to another building society under section five of the Societies (Miscellaneous Provisions) Act, 1940.

(3) The said conditions may also include conditions for securing that the default which was the occasion of the petition being presented be made good and that the costs, or, in Scotland, the expenses, of the proceedings on the petition be defrayed by the person or persons responsible for the default.

Meaning of financial year of building society.

70.—(1) Subject to the provisions of this section, in this Act the expression "financial year" means—

- (a) in relation to a building society established on or after the twenty-fifth day of August, eighteen hundred and ninety-four, the year ending with the thirty-first day of December, and
- (b) in relation to a building society established before the said date, the year ending with the time up to which its accounts are annually made up at the passing of this Act.

(2) A building society whose financial year does not end with the thirty-first day of December may alter its financial year by making up its accounts for one period of more than six months, and not more than eighteen months, ending with the thirty-first day of December, and references in this Act to the financial year of the building society shall include a reference to that period.

71.—(1) The Statutory Instruments Act, 1946, shall apply to all powers of making statutory instruments under this Act as if the Chief Registrar were a Minister of the Crown. Provisions as to regulations and orders.

(2) Any statutory instrument made by the Chief Registrar with the consent of the Treasury under this Act, other than a statutory instrument containing an order under section one of this Act, shall be subject to annulment in pursuance of a resolution of either House of Parliament.

72.—(1) The Acts mentioned in the Fifth Schedule to this Act shall have effect subject to the amendments there specified, being minor amendments or amendments consequential on the provisions of this Act. Minor and consequential amendments.

(2) In the Building Societies Acts, 1874 to 1940, the expressions “director” and “member” in relation to a building society shall have the meanings assigned to them by this Act.

73.—(1) In this Act, unless the context otherwise requires— Interpretation.

“advertisement” means, in relation to a building society, an advertisement in any medium inviting business or making known the activities of the building society, and includes in particular a circular or handbill inviting business or making known its activities ;

“annual return” has the meaning assigned to it by section fifty of this Act ;

“banking or finance company” means any body corporate or partnership whose ordinary business includes the business of banking and any other body corporate whose ordinary business includes the business of lending money ;

“board”, in relation to a building society managed by a committee of management, means that committee ;

“building society” means a society incorporated under the Building Societies Acts, 1874 to 1940, and any such unincorporated society as is mentioned in section seven of the principal Act but does not include a society which is, or for the purposes of those Acts is deemed to be, registered in Northern Ireland or any such unincorporated society as aforesaid whose chief office or principal place of business is in Northern Ireland ;

“Chief Registrar” means the Chief Registrar of Friendly Societies, and “the registrar” means the registrar as defined in section three of the principal Act ;

“director”, in relation to a building society, includes a member of a committee of management and any other person occupying the position of director by whatever name called ;

“financial year” has the meaning assigned to it by section seventy of this Act ;

“member”, in relation to a building society, includes any person who for the time being holds a share, whether advanced or not, in the building society ;

“officer”, in relation to a building society, includes a director, manager, or secretary of the building society ;

“the principal Act” means the Building Societies Act, 1874 ;

“share” includes stock ;

“special advance” has the meaning assigned to it by section one of this Act ;

“special resolution” has the meaning assigned to it by section twenty-nine of this Act.

(2) It is hereby declared that references in this Act to mortgages of land in Northern Ireland include references to registered charges which by virtue of subsection (4) of section forty of the Local Registration of Title (Ireland) Act, 1891, operate as mortgages by deed.

(3) For the purposes of any enactment in this Act which provides that an officer of a building society who is in default shall be liable to a fine or penalty, the expression “officer who is in default” means any officer of the building society who knowingly and wilfully authorises or permits the default, refusal or contravention mentioned in the enactment.

(4) For the purposes of this Act the value of the assets of a building society shall be the value at which the assets are taken into account in the latest balance sheet, and not any alternative values shown in that balance sheet.

(5) For the purposes of any reference in this Act to a person holding shares in a building society up to a specified value, any shares which are fully paid up shall be taken at their nominal value, any shares which are partly paid up shall be taken at the amount which has been paid up on them respectively, and any share held by a person to whom the building society has, as the holder of the share, made an advance shall be disregarded.

(6) Any reference in this Act to the contravention of any provision of this Act, or of any regulations or directions thereunder, shall include a reference to failure to comply with that provision.

74. There shall be paid out of money provided by Parliament any expenses incurred by the Chief Registrar in consequence of the provisions of this Act and any money received by the Chief Registrar under this Act shall be paid into the Exchequer.

75. No limitation on the powers of the Parliament of Northern Ireland imposed by the Government of Ireland Act, 1920, shall preclude that Parliament from making laws for the purpose of enabling building societies as defined in this Act to make advances on the security of land in Northern Ireland in the same manner and in the like circumstances as they may make advances on the security of land in Great Britain, and otherwise for purposes similar to the purposes of this Act.

Extension of powers of Parliament of Northern Ireland.

76. The Acts mentioned in the Sixth Schedule to this Act shall be repealed to the extent specified in the third column of that Schedule.

Repeals.

77.—(1) This Act may be cited as the Building Societies Act, 1960, and the Building Societies Acts, 1874 to 1940, and this Act may be cited together as the Building Societies Acts, 1874 to 1960.

Citation, construction, extent and commencement.

(2) This Act shall be construed as one with the Building Societies Acts, 1874 to 1940.

(3) Save as otherwise expressly provided, this Act shall not extend to Northern Ireland.

(4) This Act shall come into force on the first day of October, nineteen hundred and sixty.

SCHEDULES

Sections 4 and 9.

FIRST SCHEDULE

SPECIAL TERMS APPLYING TO CERTAIN SHARES

PART I

1. Neither at the time when the shares are issued, nor at any other time before the end of the relevant period of five years, shall the terms regarding rate of interest, participation in profits, contribution to losses or rights on a termination or dissolution be, either as a whole or separately, more favourable for those shares than for any other shares in the building society.

2. Until the end of the relevant period of five years the building society shall not give effect to or recognise any transfer of the shares by the person to whom they were issued, and the terms attaching to those shares shall so provide:

Provided that this paragraph shall not prevent the building society from giving effect to any transmission of the shares by operation of law.

3. Until the end of the relevant period of five years, and so long as the building society is not terminated or dissolved, the building society shall not repay the sum subscribed for the shares or any part of that sum, and the terms attaching to the shares shall so provide.

PART II

4.—(1) If at any time before the end of the relevant period of five years there is a failure to comply with the provisions of Part I of this Schedule in relation to any of the shares issued in accordance with section four or, as the case may be, section nine of this Act, the Chief Registrar may, subject to the provisions of this Part of this Schedule, present a petition for the winding-up of the building society under the Companies Act, 1948.

(2) Not less than one month before presenting a petition for the winding-up of the building society under the Companies Act, 1948, the Chief Registrar shall send to the building society notice of his decision and may, if he thinks fit, afford to the building society an opportunity of submitting to him, as an alternative to the winding-up of the building society under the Companies Act, 1948, proposals for—

- (a) dissolving the building society in one of the ways mentioned in section thirty-two of the principal Act, or
- (b) uniting the society under section thirty-three of the principal Act with another building society or for transferring its engagements to another building society under section five of the Societies (Miscellaneous Provisions) Act, 1940,

and the Chief Registrar may, having regard to the proposals, postpone his decision to present a petition for the winding-up of the building society under the Companies Act, 1948.

5.—(1) Until the end of the relevant period of five years a building society shall not without the consent of the Chief Registrar unite with another building society under section thirty-three of the principal Act or transfer its engagements to any other building society under section five of the Societies (Miscellaneous Provisions) Act, 1940, unless the other building society (or, in the case of a union with two or more societies, one of those societies) has been incorporated for more than five years and has assets which exceed one hundred thousand pounds in value.

1st Sch.

(2) The Chief Registrar may, where those who were issued with shares to which conditions under this Schedule attach also come to hold shares in the building society formed on the union, or, as the case may be, the building society to which the engagements are transferred, attach to his consent conditions which are in his opinion equivalent conditions, and may on the breach of any of those conditions at any time during the remainder of the said period of five years present a petition for the winding-up of the building society under the Companies Act, 1948.

PART III

6. In this Schedule the relevant period of five years means, in the case of shares issued in pursuance of section four of this Act, the period of five years beginning with the date on which a certificate is issued by the registrar under that section, and, in the case of shares issued in compliance with section nine of this Act, the period of five years beginning with the date of the sending of the notice under subsection (1) of that section.

SECOND SCHEDULE

Section 5.

REQUIREMENTS TO BE MET BY A NEW SOCIETY DESIRING TO ADVERTISE

Special advances

1. The proportion of outstanding advances determined in accordance with paragraph (b) of subsection (3) of section one of this Act by the building society as at the end of the last financial year ending before the date of the application must not have exceeded ten per cent.

Liquidity

2.—(1) At the end of the last financial year ending before the date of the application, the value of the liquid funds of the building society must have been seven and a half per cent. or more of the value of the assets of the building society.

(2) For the purposes of this paragraph—

- (a) the expression “liquid funds” means the funds of the building society (whether represented by investments or on loan to a bank or held in cash) which were not immediately required for its purposes, less any amount due from the building society (whether immediately payable or not) otherwise than in respect of shares in, or deposits with, the building society, and

2ND SCH.

- (b) the value of such of the funds of the building society as were represented by investments shall be the value at which they were taken into account in the balance sheet for the said financial year, and not any alternative value shown in that balance sheet.

Advances to officers of society, or companies in which they are interested

3.—(1) At the end of the last financial year ending before the date of the application there must not have been outstanding in whole or in part any advance made by the building society of which particulars were, in compliance with section fifty-four of this Act, shown in any annual return sent to the Chief Registrar by the building society, or in any auditors' report made to the building society.

(2) If particulars of any advance were so shown in any such annual return or auditors' report before the date of the application, the application shall be accompanied by a statutory declaration by the manager or secretary of the building society stating that the advance has been wholly repaid.

Avoidance of losses

4. The application shall contain or be accompanied by a report by the auditors of the building society stating that in their opinion the balance of the revenue and appropriation account for the last financial year ending before the date of the application represents a surplus after making any adjustments which in their opinion are necessary to provide for diminution in value of assets, or in respect of items of an exceptional or abnormal nature.

Interest on shares

5. The building society must not at the date of the application be in arrear with any interest due on shares in the building society.

Directors

6. The application must be accompanied by a statutory declaration by the manager or secretary of the building society stating that none of the directors of the building society held office at the date of the application for a fixed term exceeding five years from appointment, or for a term which was not fixed.

7. Neither any director of the building society nor the manager or secretary may at the date of the application be a person who has been a director or the manager or secretary of a building society at a time when an order has been made against the building society under section six of this Act or section eleven of the Prevention of Fraud (Investments) Act, 1958, or section eleven of the Prevention of Fraud (Investments) Act, 1939, unless the order was made more than five years before the date of the application.

THIRD SCHEDULE

Section 17.

LIST OF CHARGES SUBJECT TO WHICH SOCIETIES MAY
MAKE ADVANCES

1.—(1) Any charge over land in Great Britain acquired by a local authority under any Act of Parliament or under any instrument made under an Act of Parliament, being a charge which takes effect by virtue of the Act or instrument.

(2) In this paragraph the expression “local authority” means—

(a) in relation to England and Wales, any authority being, within the meaning of the Local Loans Act, 1875, an authority having power to levy a rate, and

(b) in relation to Scotland, any county council, town council or district council, or any authority, commissioners or trustees to which section two hundred and seventy of the Local Government (Scotland) Act, 1947, applies.

2. Any charge over land in Northern Ireland required by section two of the Statutory Charges Register Act (Northern Ireland), 1951, to be registered in the statutory charges register.

FOURTH SCHEDULE

Section 32.

STANDARD RULES FOR MEETINGS OF BUILDING SOCIETIES

Annual general meeting and other meetings

1.—(1) The society shall in the first four months of each financial year hold a meeting as its annual general meeting in addition to any other meetings in that year, and shall specify the meeting as such in the notices calling it; and the annual general meeting shall be held at such time and place as the directors shall appoint.

(2) The directors of the society may, whenever they think fit, convene a meeting other than the annual general meeting.

Right to requisition a meeting

2.—(1) The directors of the society shall, on the requisition of a number of members of the society which is not less than one tenth of the total membership, or, if the society has more than one thousand members, on the requisition of one hundred or more members, forthwith proceed duly to convene a meeting of the society.

(2) The requisition must state the objects of the meeting, and must be signed by the requisitionists and deposited at the chief office of the society, and may consist of several documents in like form each signed by one or more requisitionists.

(3) If the directors do not within twenty-one days from the date of the deposit of the requisition proceed duly to convene a meeting, the requisitionists, or any proportion of them exceeding one half, may themselves convene a meeting, but any meeting so convened shall not be held after the expiration of three months from the said date.

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(4) The meeting convened under this rule by the requisitionists shall be convened in the same manner, as nearly as possible, as that in which meetings are convened by the directors.

(5) Any reasonable expenses incurred by the requisitionists by reason of the failure of the directors duly to convene a meeting shall be repaid to the requisitionists by the society, and any sum so repaid shall be retained by the society out of any sums owed to or coming from the society to such of the directors as were in default by way of fees or other remuneration in respect of their services.

(6) The society or, as the case may be, the requisitionists shall give the members of the society notice of any resolution which the requisitionists propose to move at the meeting at the same time and in the same manner as notice is given of the meeting.

Form of notice of meeting

3. Notice of a meeting of a society shall specify the place, the day and the hour of meeting and the nature of the business to be transacted at the meeting.

Service of notices of meetings and resolutions

4.—(1) A notice may be given by the society to any member by sending it by post to him or to his registered address, or (if he has no registered address within the United Kingdom) to the address, if any, within the United Kingdom supplied by him to the society for the giving of notice to him.

Where a notice is sent by post, service of the notice shall be deemed to be effected by properly addressing, prepaying, and posting a letter containing the notice, and to have been effected in the case of a notice of a meeting at the expiration of 24 hours after the letter containing the same is posted, and in any other case at the time at which the letter would be delivered in the ordinary course of post.

(2) A notice may be given by the society to the joint holders of a share by giving the notice to the joint holder first named in the books of the society in respect of the share.

(3) A notice may be given by the society to the persons entitled to a share in consequence of the death or bankruptcy of a member by sending it through the post in a prepaid letter addressed to them by name, or by the title of representatives of the deceased, or trustee of the bankrupt, or by any like description, at the address, if any, within the United Kingdom supplied for the purpose by the persons claiming to be so entitled, or (until such an address has been so supplied) by giving the notice in any manner in which the same might have been given if the death or bankruptcy had not occurred.

Procedure at meetings

5.—(1) No business shall be transacted at any meeting unless a quorum of members is present at the time when the meeting proceeds to business; save as herein otherwise provided, five members present in person shall be a quorum.

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(2) If within half an hour from the time appointed for the meeting a quorum is not present, the meeting, if convened upon the requisition of members, shall be dissolved; in any other case it shall stand adjourned to the same day in the next week, at the same time and place or to such other day and at such other time and place as the directors may determine, and if at the adjourned meeting a quorum is not present within half an hour from the time appointed for the meeting, the members present shall be a quorum.

(3) The chairman, if any, of the board of directors shall preside as chairman at every meeting of the society, or if there is no such chairman, or if he shall not be present within fifteen minutes after the time appointed for the holding of the meeting, or is unwilling to act, the directors present shall elect one of their number to be chairman of the meeting.

(4) If at any meeting no director is willing to act as chairman or if no director is present within fifteen minutes after the time appointed for holding the meeting, the members present shall choose one of their number to be the chairman of the meeting.

(5) The chairman may, with the consent of any meeting at which a quorum is present (and shall if so directed by the meeting), adjourn the meeting from time to time and from place to place, but no business shall be transacted at any adjourned meeting other than the business left unfinished at the meeting from which the adjournment took place. When a meeting is adjourned for thirty days or more, notice of the adjourned meeting shall be given as in the case of an original meeting. Save as aforesaid it shall not be necessary to give any notice of an adjournment or of the business to be transacted at an adjourned meeting.

(6) At any meeting a resolution put to the vote of the meeting shall be decided on a show of hands unless a poll is (before or on the declaration of the result of the show of hands) demanded—

(a) by the chairman; or

(b) by at least ten members present in person or by proxy.

Unless a poll be so demanded a declaration by the chairman that a resolution has on a show of hands been carried or carried unanimously, or by a particular majority, or lost and an entry to that effect in the book containing the minutes of the proceedings of the society shall be conclusive evidence of the fact without proof of the number or proportion of the votes recorded in favour of or against such resolution.

The demand for a poll may be withdrawn.

(7) If a resolution put to the vote of the meeting is a resolution which, under the enactments relating to building societies, will not be effective unless it is passed as a special resolution, a poll shall be deemed to have been demanded by the chairman.

6.—(1) Except as provided in the following provisions of this rule, if a poll is duly demanded it shall be taken in such manner as the chairman directs, and the result of the poll shall be deemed to be the resolution of the meeting at which the poll was demanded.

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(2) In the case of an equality of votes, whether on a show of hands or on a poll, the chairman of the meeting at which the show of hands takes place, or at which the poll is demanded, shall be entitled to a second or casting vote.

(3) A poll demanded on the election of a chairman or on a question of adjournment shall be taken forthwith. A poll demanded on any other question shall be taken at such time as the chairman of the meeting directs, and any business other than that upon which a poll has been demanded may be proceeded with pending the taking of the poll.

Votes of Members

7.—(1) On a show of hands every member present in person shall have one vote.

(2) On a poll on a resolution which, under the enactments relating to building societies, will not be effective unless it is passed as a special resolution, every member shall have one vote.

(3) On a poll on any other resolution a member who at the end of the last financial year ending before the date of the meeting held shares in a building society to the value of £25 or more shall have such number of votes as is indicated in the following Table.

TABLE

Where the member holds shares to the value of—	Number of votes
£25 or more but not more than £100	One vote
More than £100 but not more than £200	Two votes
More than £200 but not more than £300	Three votes
More than £300 but not more than £400	Four votes
More than £400... ..	Five votes

For the purpose of this rule any shares which are fully paid up shall be taken at their nominal value and any shares which are partly paid up shall be taken at the amount which has been paid up on them respectively.

(4) No objection shall be raised to the qualification of any voter except at the meeting or adjourned meeting at which the vote objected to is given or tendered, and every vote not disallowed at such meeting shall be valid for all purposes. Any such objection made in due time shall be referred to the chairman of the meeting, whose decision shall be final and conclusive.

(5) On a poll votes may be given either personally or by proxy.

8.—(1) The instrument appointing a proxy shall be in writing under the hand of the appointer or of his attorney duly authorised in writing, or, if the appointer is a corporation, either under seal, or under the hand of an officer or attorney duly authorised. A proxy need not be a member of the society.

(2) The instrument appointing a proxy and the power of attorney or other authority, if any, under which it is signed or a notarially certified copy of that power or authority shall be deposited at the

chief office of the society or at such other place within the United Kingdom as is specified for that purpose in the notice convening the meeting, not less than 48 hours before the time for holding the meeting, or adjourned meeting, at which the person named in the instrument proposes to vote, or, in the case of a poll, not less than 24 hours before the time appointed for the taking of the poll, and in default the instrument of proxy shall not be treated as valid.

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(3) An instrument appointing a proxy shall be in the following form or a form as near thereto as circumstances admit—

“ Building Society
I/We of in
the county of , being a member/members of
the above-named society, hereby appoint
of , or failing him,
of , as my/our proxy to vote for me/us on my/our
behalf at the meeting of the society to be held on the
day of 19 , and at any adjournment thereof.
Signed this day of 19 ”

(4) Where it is desired to afford members an opportunity of voting for or against a resolution the instrument appointing a proxy shall be in the following form or a form as near thereto as circumstances admit—

“ Building Society
I/We of
in the county of , being a member/members of the
above-named society, hereby appoint
of , or failing him
of , as my/our proxy to vote for me/us on my/our
behalf at the meeting of the society, to be held on the
day of 19 , and at any adjournment thereof.
Signed this day of 19 .

This form is to be used *in favour of the resolution. Unless other-
against
wise instructed, the proxy will vote as he thinks fit.

* *Strike out whichever is not desired.*”

(5) The instrument appointing a proxy shall be deemed to confer authority to demand or join in demanding a poll.

(6) A vote given in accordance with the terms of an instrument of proxy shall be valid notwithstanding the previous death or insanity of the principal or revocation of the proxy or of the authority under which the proxy was executed, or the transfer of the share in respect of which the proxy is given, provided that no intimation in writing of such death, insanity, revocation or transfer as afore-said shall have been received by the society at its office before the commencement of the meeting or adjourned meeting at which the proxy is used.

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Joint shareholders

9.—(1) A joint holding of shares in the society shall not give to any of the joint holders, other than the one who is first named in the books of the society, the right to attend a meeting or any right conferred by these rules on a member.

(2) Without prejudice to the generality of the foregoing provisions of this rule, any shares which are held jointly shall, for the purpose of determining which members are qualified to vote, whether in person or by proxy, on any resolution, and the number of votes they may give, be regarded as held by the joint holder who is first named in the books of the society.

(3) Any reference in these rules to the total membership of the society, or to any number of members of the society, shall be read as if any shares held jointly were held by the joint holder so first named.

Corporations acting by representatives at meetings

10. Any corporation which is a member of the society may by resolution of its directors or other governing body authorise such person as it thinks fit to act as its representative at any meeting of the society or of any class of members of the society, and the person so authorised shall be entitled to exercise the same powers on behalf of the corporation which he represents as that corporation could exercise if it were an individual member of the society.

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FIFTH SCHEDULE

MINOR AND CONSEQUENTIAL AMENDMENTS

The Friendly Societies Act, 1829

(10 Geo. 4 c. 56)

Sections nine and thirty-three shall cease to apply to unincorporated building societies.

The Building Societies Act, 1874

(37 & 38 Vict. c. 42)

In section sixteen, at the beginning of paragraph 6 insert the words "The manner of remunerating auditors and", and the word "auditors" after the word "management" in that paragraph shall be omitted.

In section eighteen for the words "that the provisions of this section have been complied with" substitute the words "that the resolution has been passed as a special resolution as defined in the Building Societies Act, 1960".

In section twenty-two for the words from "resolution" to "purpose" substitute "special resolution (as defined in the Building Societies Act, 1960)".

So much of section twenty-five as relates to the appointment and removal of trustees, and section twenty-six, shall cease to have effect.

In paragraph 4 of section thirty-two for the words "three-fourths of the members present at a general meeting of the society specially called for the purpose" substitute the words "special resolution (as defined in the Building Societies Act, 1960)".

The Building Societies Act, 1894
(57 & 58 Vict. c. 47)

Section four shall cease to have effect.

In subsection (2) of section six for the words "the Gazette" substitute the words "the London and Edinburgh Gazettes".

In subsection (3) of section six both after the word "registry" and after the word "thereof" insert the words "under this section".

In subsection (5) of section six after the word "has" insert the words "under this section".

In subsection (3) of section seven for the words "the Gazette" substitute the words "the London and Edinburgh Gazettes".

In subsection (2) of section twelve for the words "present or voting by voting papers" in both places substitute the words "voting in person or by proxy or by voting papers".

In subsection (3) of section twelve for the words "fourteen days" substitute the words "twenty-one days".

In section twenty-three for the words "and in default of payment" substitute the word "or".

The Building Societies Act, 1939
(2 & 3 Geo. 6 c. 55)

Sections four and twelve shall cease to have effect.

In subsection (2) of section thirteen in its application to an annual return under this Act for the word "registrar" substitute the words "Chief Registrar".

The Societies (Miscellaneous Provisions)
Act, 1940

(3 & 4 Geo. 6. c. 19)

In subsection (1) of section five for the words from "means" to the end of the subsection substitute "has the same meaning as in the Building Societies Act, 1960".

In subsection (2) of section five for the words "the Gazette" substitute the words "the London and Edinburgh Gazettes".

Section 76.

SIXTH SCHEDULE

REPEALS

Session and Chapter	Short Title	Extent of Repeal
37 & 38 Vict. c. 42.	The Building Societies Act, 1874.	In section sixteen, in paragraph 3, the words from "and the manner" to the end of the paragraph, and paragraphs 5, 7 and 8. In section seventeen, the words from "provided that" to the words "such registration". In section eighteen, the words from the beginning to "its rules direct; and". In section twenty-two, the words from "provided that" to the words "such registration". Sections twenty-five and twenty-six. Section thirty. Section forty. Section forty-four.
40 & 41 Vict. c. 63.	The Building Societies Act, 1877.	In section two, the words from "nor shall" to "apply to such change".
57 & 58 Vict. c. 47.	The Building Societies Act, 1894.	Sections two to four. Subsection (2) of section thirteen. Sections sixteen and seventeen. Section nineteen. Section twenty-one. Section twenty-five. The First Schedule.
2 & 3 Geo. 6. c. 55.	The Building Societies Act, 1939.	Subsection (3) of section three. Section four. Section six. Section twelve. In section thirteen, in subsection (2), the words from "which shall be" to "particulars as may be prescribed", and in subsection (3), the words from "subject to" to "Building Societies Act, 1874". In section fourteen, in subsection (1), the words "(whether an officer of the society or not)" and, in subsection (2), the words "whether they are or are not officers of the society". In subsection (1) of section fifteen, the words "with the provisions of subsection (3) of section twelve of this Act or" and the words "or (2)", and subsection (4) of that section.

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Session and Chapter	Short Title	Extent of Repeal
3 & 4 Geo. 6. c. 19.	The Societies (Miscellaneous Provisions) Act, 1940.	In section five, in subsection (2), the words "in such manner as he may prescribe" and the words "or by section nineteen of the Building Societies Act, 1894".
11 & 12 Geo. 6. c. 39.	The Industrial Assurance and Friendly Societies Act, 1948.	In section nineteen, in subsection (5), paragraph (d) and the word "and" at the end of paragraph (c).
6 & 7 Eliz. 2. c. 45.	The Prevention of Fraud (Investments) Act, 1958.	Section eleven, except as respects orders in force under that section at the commencement of this Act.
7 & 8 Eliz. 2. c. 6.	The National Debt Act, 1958.	In section fifteen, in subsection (3), the words "subsection (2) of section sixteen of the Building Societies Act, 1894".
7 & 8 Eliz. 2. c. 25.	The Highways Act, 1959.	Section one hundred and ninety-nine.

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Table of Statutes referred to in this Act

Short Title	Session and Chapter
Friendly Societies Act, 1829	10 Geo. 4. c. 56.
Building Societies Act, 1836	6 & 7 Will. 4. c. 32.
Building Societies Act, 1874	37 & 38 Vict. c. 42.
Local Loans Act, 1875	38 & 39 Vict. c. 83.
Building Societies Act, 1877	40 & 41 Vict. c. 63.
Local Registration of Title (Ireland) Act, 1891 ...	54 & 55 Vict. c. 66.
Building Societies Act, 1894	57 & 58 Vict. c. 47.
Government of Ireland Act, 1920	10 & 11 Geo. 5. c. 67.
Prevention of Fraud (Investments) Act, 1939 ...	2 & 3 Geo. 6. c. 16.
Building Societies Act, 1939	2 & 3 Geo. 6. c. 55.
Societies (Miscellaneous Provisions) Act, 1940 ...	3 & 4 Geo. 6. c. 19.
Statutory Instruments Act, 1946	9 & 10 Geo. 6. c. 36.
Local Government (Scotland) Act, 1947... ..	10 & 11 Geo. 6. c. 43.
Companies Act, 1948	11 & 12 Geo. 6. c. 38.
Prevention of Fraud (Investments) Act, 1958 ...	6 & 7 Eliz. 2. c. 45.